



Tamarack Valley Energy Ltd.

TSX: TVE

Market Outperform | Buy



NOVEMBER 28, 2023

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Presented to ATB Capital Markets

RETURN ON INVESTMENT

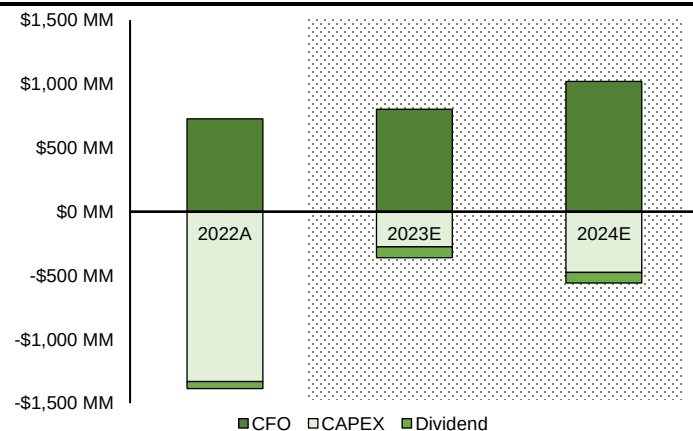
Current Share Price	\$3.58
Target Price	\$6.54
Implied Return	83%
Dividend Yield	4.26%

MARKET PROFILE

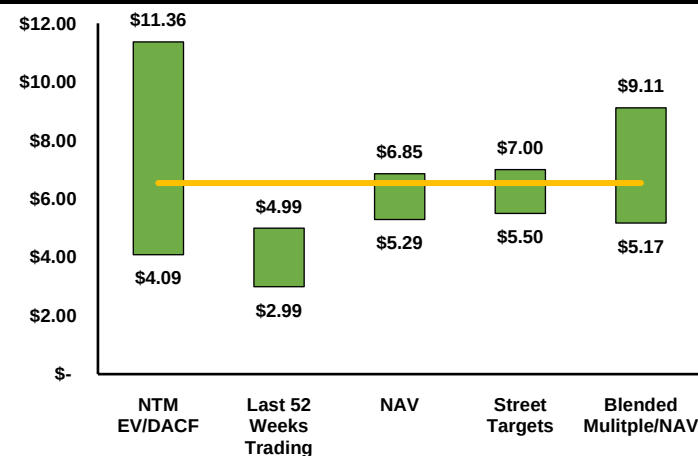
52-Week Range	\$2.99 - \$4.99
Market Capitalization (MM)	\$1,993
Net Debt (MM)	\$1,128
Enterprise Value (MM)	\$3,121
Beta (5-Year Monthly)	2.53

METRICS	2022A	LTM	NTM
DACF (MM)	\$840	\$718	\$857
EBITDA (MM)	\$862	\$932	\$1,136
EV/DACF	5.2x	4.9x	4.1x
EV/EBITDA	4.1x	3.7x	3.1x

FREE CASH FLOW PROFILE



FOOTBALL FIELD VALUATION



Business Description

Tamarack Valley Energy Ltd. (TSV: TVE) is an upstream Canadian oil & gas exploration company with operations in Alberta's Charlie Lake and Clearwater plays, as well as Enhanced Oil Recovery (EOR) opportunities across the landscape. As of Q3 2023, Tamarack reached an average daily production of 68,597 boe/d.

Investment Thesis

Our investment thesis is a market outperform/buy rating. We are strongly convicted on this rating as our beliefs are rooted in key strategic drivers such as TVE's active consolidation, their ESG embedded strategy and their attractive takeover position that we expect to generate lucrative returns.

Valuation

The target stock price of US\$6.54 was derived using a 50/50 average of (1) NTM EV/DACF multiple of 3.1x and (2) the base case 2P NAV model price of \$6.25.

Business Strategy & Growth Runway

TVE targets accretive acquisitions, choosing plays that can deliver strong debt adjusted free cash flow per share with multiple payback periods over the asset's lifetime.

ESG Overview

Tamarack Valley is a leader in ESG amongst the peers and has a sustainability linked loan directly tied to its targets.

Strong Balance Sheet

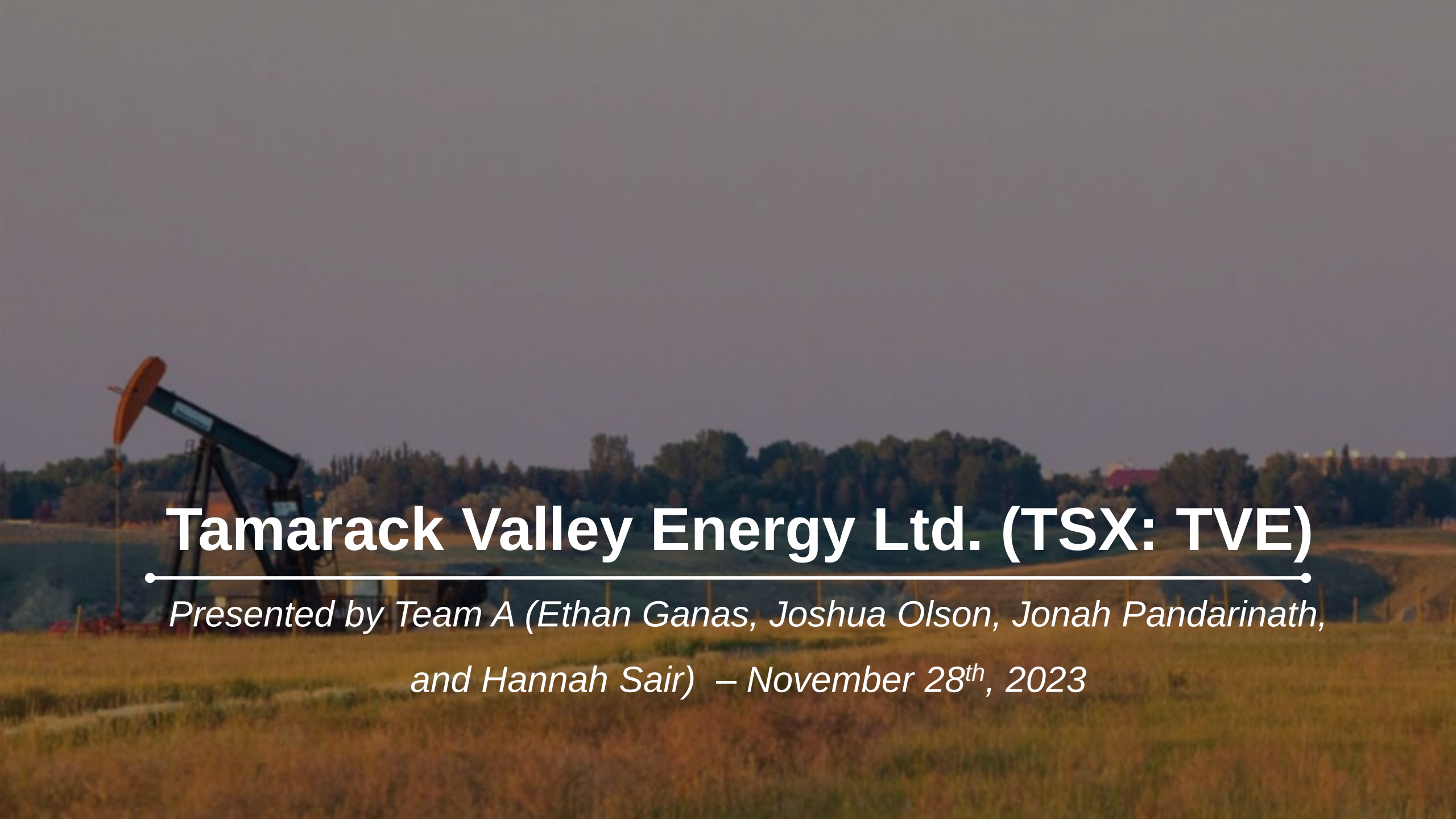
TVE's key focus on FCF use in the future is repayment of debt and return of capital to shareholders through dividends and buybacks. TVE displays strong balance sheet health and is well positioned to service debt obligations.

Growing Free Cash Flow

Netback per BOE continues to be optimized through efficient infrastructure initiatives that drive the reduction of expenses and support growth in FCF.

Risks

Tamarack's main investment risk come from commodity price volatility, along with 75% of its 2P reserves being located on or near Indigenous Land, asset consolidation, and its target of reaching a 39% reduction in its Scope 1 and 2 GHG emission by 2025 which could increase its cost of debt.



Tamarack Valley Energy Ltd. (TSX: TVE)

*Presented by Team A (Ethan Ganas, Joshua Olson, Jonah Pandarinath,
and Hannah Sair) – November 28th, 2023*

INVESTMENT SUMMARY

Action

Target Price

Implied Upside

Positive Outlook: **BUY**

1 Year Target: **\$6.54**

1 Year Return: **83% ⁽¹⁾**

Key Drivers

Consolidating Assets

TVE is concentrating its assets in the Charlie Lake and Clearwater areas, and has niche expertise in waterflooding

Attractive Takeover Positioning

TVE is demonstrating clear focus and direction in creating economies of scale, increasing netbacks, and improving operational efficiency, positioning themselves as an attractive acquisition target

ESG Embedded Strategy

TVE has robust environment targets, indigenous consultation, and alignment of CEO pay with shareholder returns

1 - Analysis

- I. Company Overview
- II. Energy Industry Overview
- III. Business Strategy and Growth Runway
- IV. Asset Acquisitions and Dispositions

2 - ESG

3 - Valuation

- I. Netbacks & Free Cash Flow
- II. Balance Sheet & ROC
- III. Net Asset Valuation
- IV. Relative Valuation

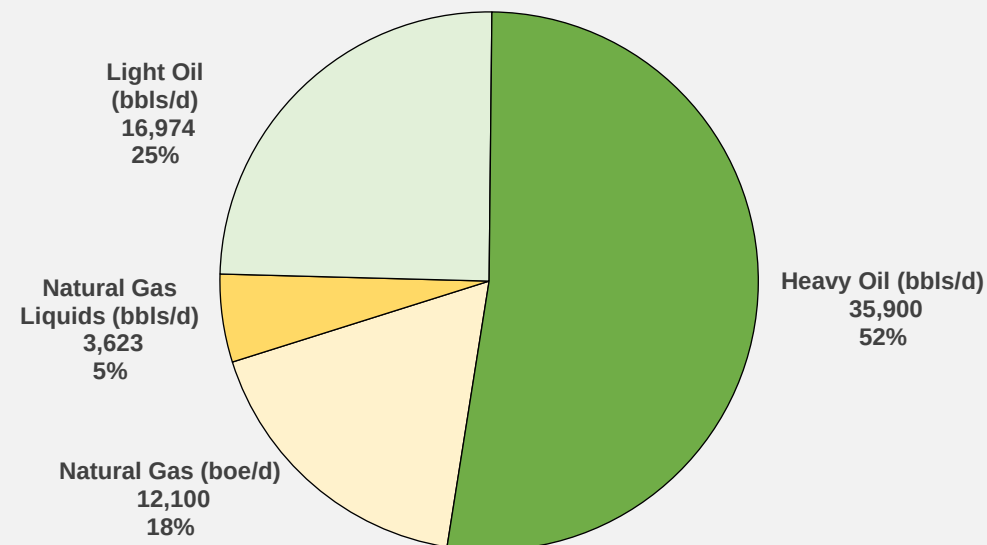
4 – Investment Risks

COMPANY OVERVIEW

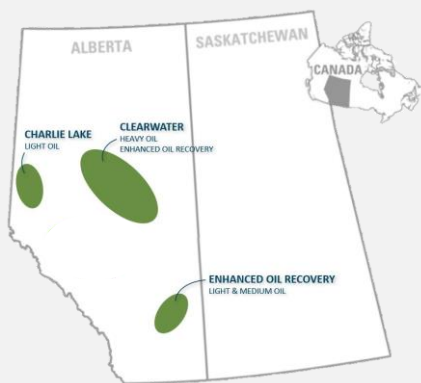
Business Description

- Tamarack Valley Energy Ltd. (TSV: TVE) is an upstream Canadian oil & gas exploration company with operations in Alberta, including its Charlie Lake, Clearwater, and Enhanced Oil Recovery (EOR) opportunities across the landscape. As of Q3 2023, Tamarack reached an average daily production of 68,597 boe/d.
- Charlie Lake:** Light oil assets in northeastern Alberta that contribute to attractive quick payout ratios due to the asset's high productivity and efficient operations.
- Clearwater:** Assets cover the Northern, Central, and Southern region of Clearwater, which produce heavy oil; important to the growth of Tamarack's free funds flow and contributes to the longevity of its portfolio of assets due to the low decline rates.
- Enhanced Oil Recovery:** Light and medium oil assets that use waterflooding across Alberta that contribute to low decline and high estimated reserve recoveries.

LTM (Q3'23) boe/d by Product



Operating Areas



TVE is the largest player in the Clearwater basin and the second largest player in the Charlie Lake area.

The recent sale of TVE's non-core Cardium and Leduc assets in conjunction with its acquisition of Deltastream signals its commitment to the long-term development of its core assets in Charlie Lake and Clearwater.

Key Metrics

Market Cap	\$1,993 MM ⁽¹⁾
Net Debt	\$1,128 MM
Enterprise Value	\$3,121 MM ⁽¹⁾
Avg boe/d 2023	68,597

ENERGY INDUSTRY OVERVIEW

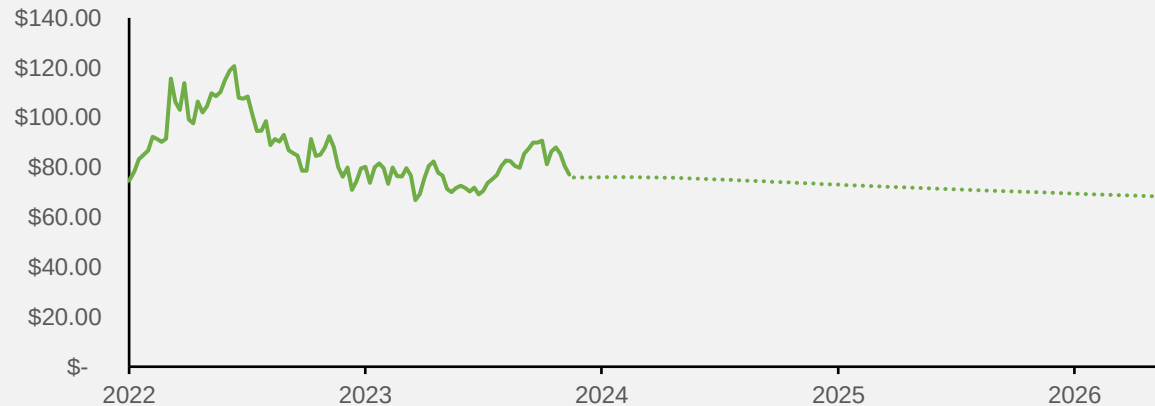
Oil Market

- Recent drop in prices could lead OPEC to cut production offsetting the increase in production growth by non-OPEC countries, balancing the global oil market.
- OPEC & IEA remain bullish on their forecasts for oil demand. Price forecasts remain high. The IEA forecasts Brent crude oil price will increase from an average of \$90/bbl in the fourth quarter of 2023 to an average of \$94/bbl during the first half of 2024.
- Continued growth in supply outside of OPEC nations, with the US, Guyana and Brazil boosting their oil output. Brazil set to become world's 4th largest oil producer by 2029.
- Uncertainties in the market for future prices due to geopolitical factors. Russia and Saudi Arabia continue to cut oil outputs, Iran's crude production, and exports to China are increasing.

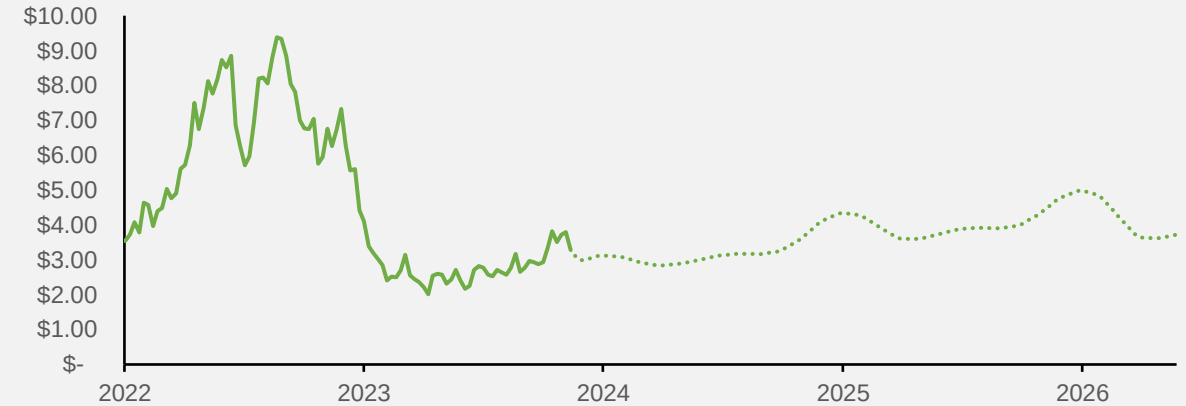
Gas Market

- Demand and natural gas storage levels expected to be impacted by expectations for warmer temperatures in the coming winter. EIA recently increased their US natural gas storage forecasts for the end of winter 2024.
- US gasoline consumption continues to decrease on a per capita basis, and IEA expects that this trend will continue in the US and other mature markets in the medium-term, contributing to slower growth in global demand.
- In the long term, continued development of new infrastructure will work to increase LNG capacity beyond 2026. This points to a more globalized gas marketplace with a greater resiliency to supply and demand shocks. New Russian Arctic LNG-2 project is projected to make up 20% of world LNG supply by 2035.

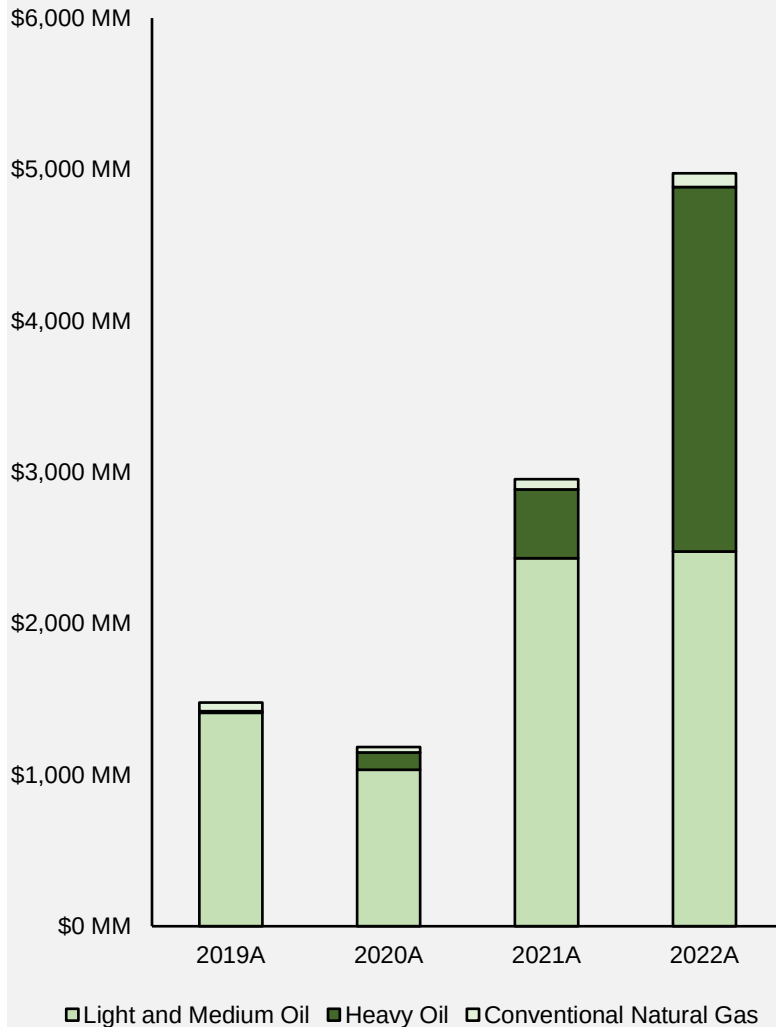
Crude Oil History and Futures Curve (USD\$/bbl)



Natural Gas History and Futures Curve (USD\$/mmbtu)



PV of 2P Reserves @ 10% DCF



Business Model

- TVE targets accretive acquisitions, choosing plays that can deliver strong debt adjusted free cash flow per share with multiple payback periods over the asset's lifetime. This lead TVE to develop an interest in plays that have a higher profit to investment ratios, indicating good medium to long term returns to shareholders.
- Preserving balance sheet strength by managing capital spending levels as appropriate to respond to changes in realized commodity prices and through the systematic hedging program using both financial derivatives and physical delivery contracts to mitigate risk.
- TVE specializes in using waterfloods to increase production right away during the primary production phase to reach the payback period earlier. TVE's waterflood assets are conducive to its strategy of delivering on long term free cash flow while having long-life reserves with a lower decline rate.

Growth Strategy

- TVE emphasizes disciplined capital spending and the continued reduction of net debt. This has helped it to maintain a strong balance sheet. This approach has worked well for TVE as it has been able to enter market downturns in a position to buy distressed assets at a discount and use these acquisitions to drive its growth in these key moments.
- Over recent years TVE has been heavily reinvesting its earnings to grow their business. This is reflected in its low three-year median payout ration to shareholders at 12%, implying TVE retains 88% of its profits.
- TVE continues to reduce its net production expense by investing in its core assets, including infrastructure spending and increasing its ownership and control in the Charlie lake and Clearwater areas.
- Future growth is expected to be derived from the continued drilling activity across core assets as TVE expects these assets to be responsible for 88% of production as it exits 2023.

ASSET ACQUISITION & DISPOSITIONS

Accretive Acquisitions & Dispositions Timeline



Acquisition Strategy

TVE has a robust accretive acquisitions strategy with low break evens. Its strategy is to centralize assets in the Clearwater and capitalize on its niche expertise in waterflood techniques.

Since late 2020 TVE has increased its Acquisition and Disposition activities significantly. These activities have culminated in the consolidation of its operations in the core areas of Clearwater and Charlie lake.

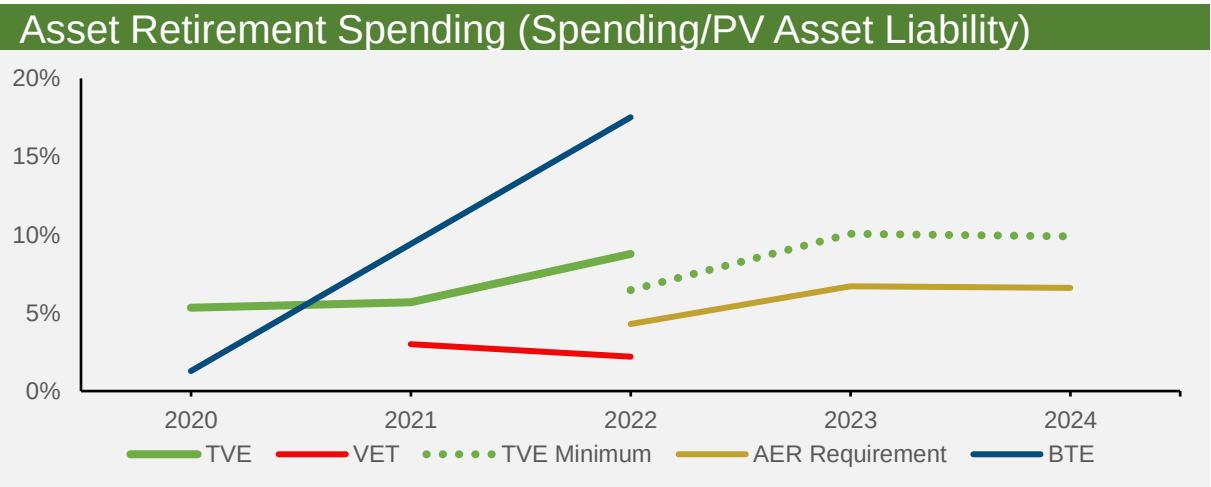
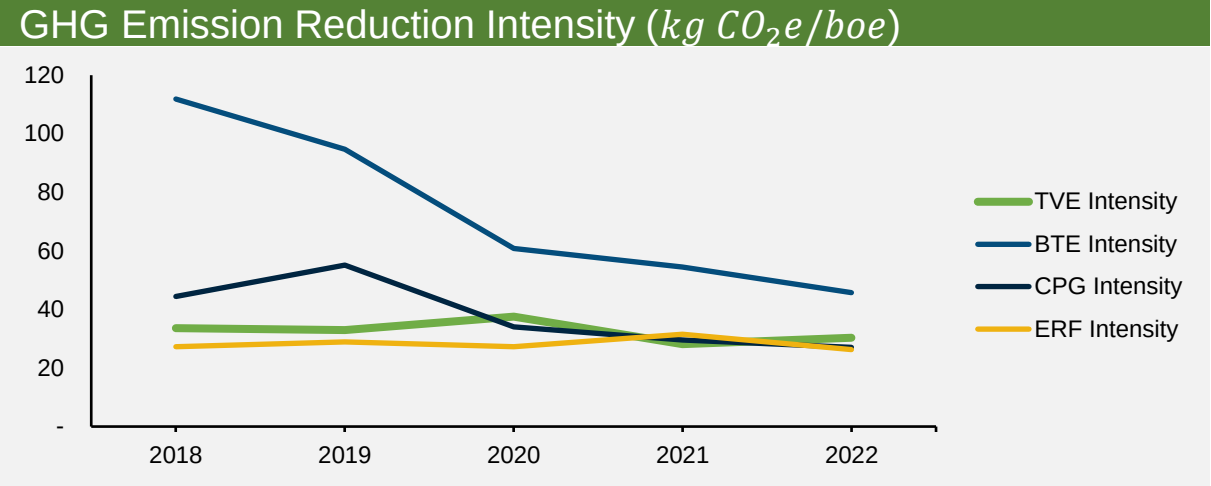
We believe this consolidation effort is a crucial component of TVE's overall strategy and reflects that they are positioning themselves to be acquired.

TVE is highly selective in its acquisitions, and it will only consider acquiring assets that are expected to outperform its current assets on a basis of debt adjusted free funds flow per share.

TVE's Disposition strategy sells non-core assets to other E&P companies to focus full attention on its core Charlie Lake and Clearwater locations.

ESG OVERVIEW

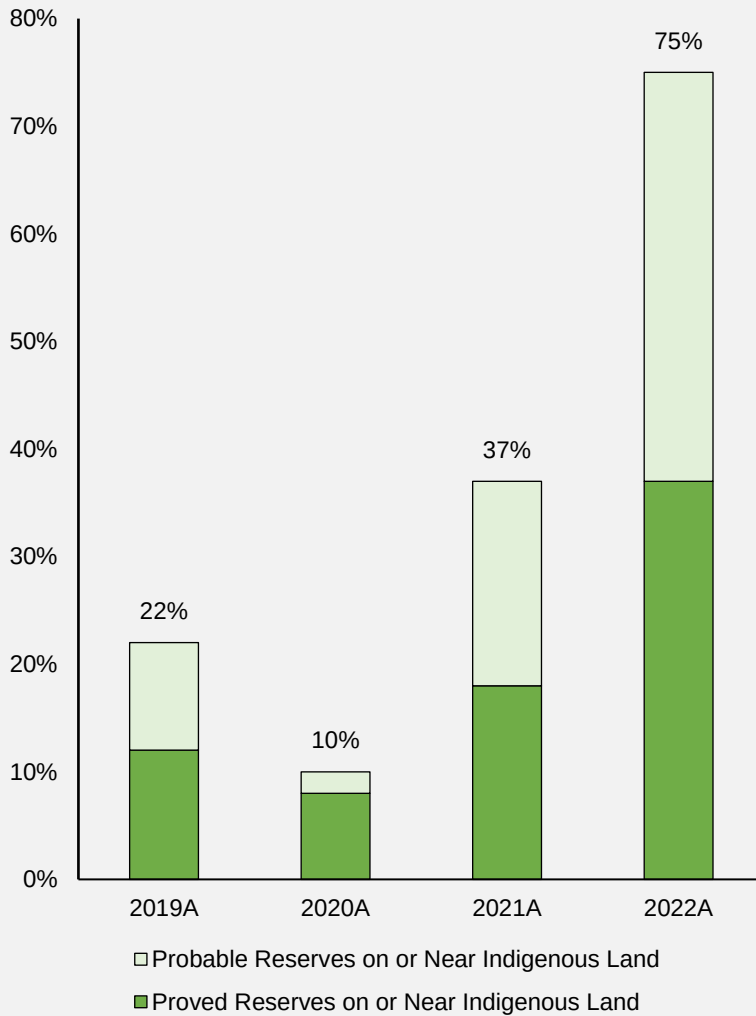
ESG Materiality Topics	
Topic	Weight
Environment	40%
GHG Emission Reduction	
Asset Retirement Responsibility	
Social	20%
Indigenous Relations	
Governance	40%
Executive Compensation	
Shareholder Rights	
Board of Directors	



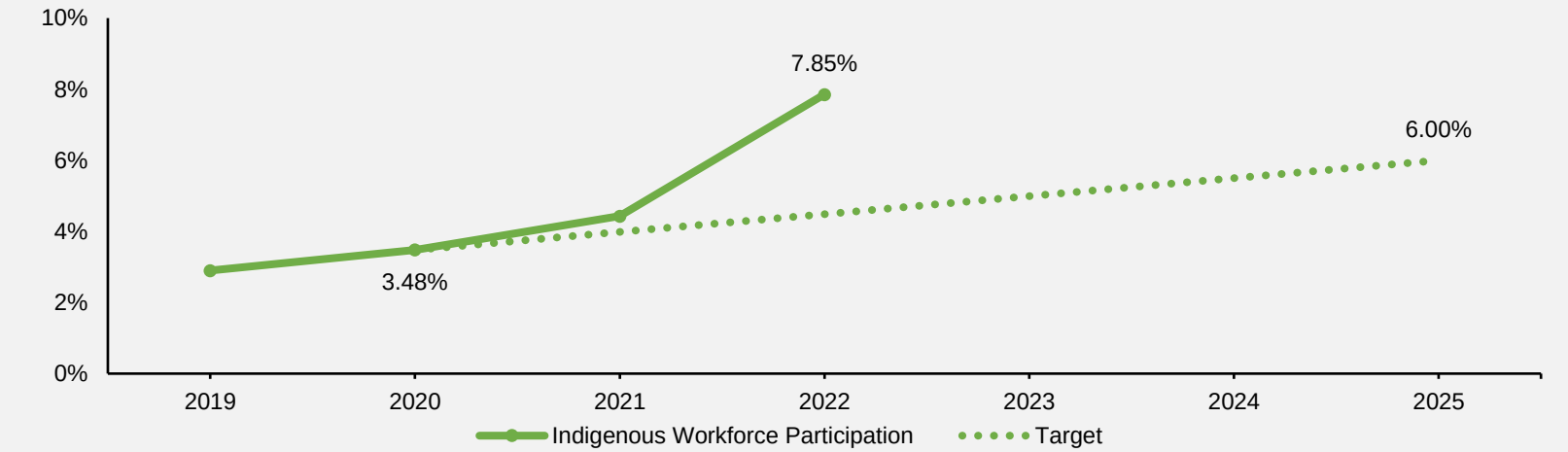
Key Takeaways: TVE is in line with the industry for GHG reduction and has internal covenants on ARO spending minimums

SOCIAL - INDIGENOUS RELATIONS

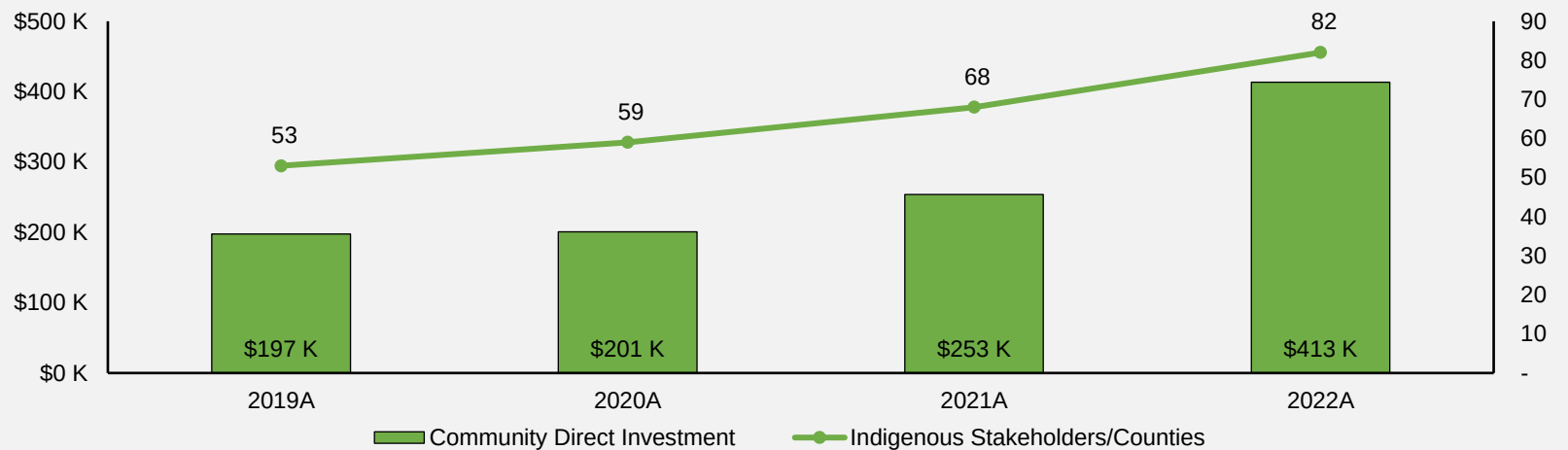
Reserves on or Near Indigenous Land



Indigenous Labour Force Participation



Indigenous Communities Direct Investment and Active Stakeholders

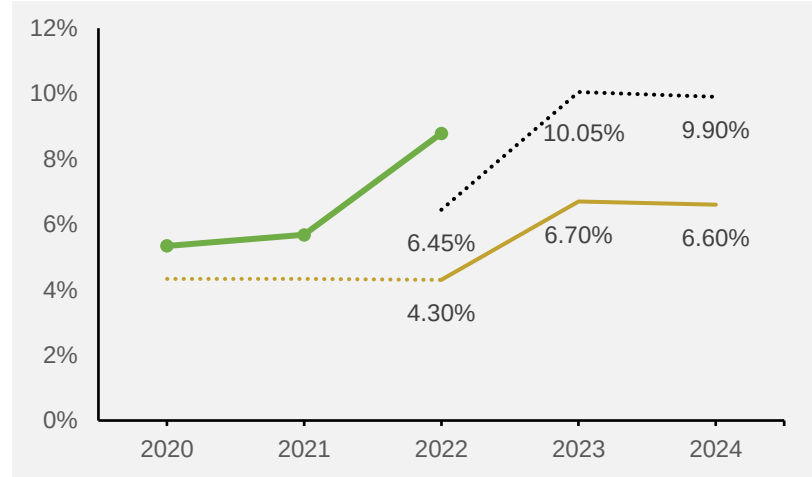


DEBT STACK & SUSTAINABLE LINKED TARGETS

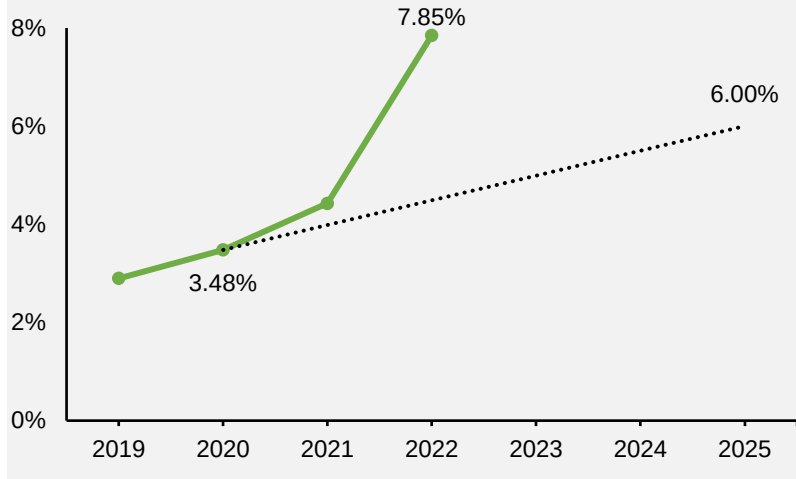
Sustainability-Linked Targets

KPI	2020 Baseline	SSL (\$875MM)(7.46%)	SLB(\$300MM)(7.25%)
Scope 1 and 2 GHG Emissions Intensity	37.5 <i>kg CO₂e/boe</i>	39% reduction by 2025	39% reduction by 2025 [75bps covenant]
Decommissioning Management – ARO Spend	5.6%	150% of Regulator target spend annually	
Indigenous Representation in the Workforce	3.5%	>6.0% representation by 2025 With a minimum +2 FTE annually	>6.0% representation by 2025 [25bps covenant]

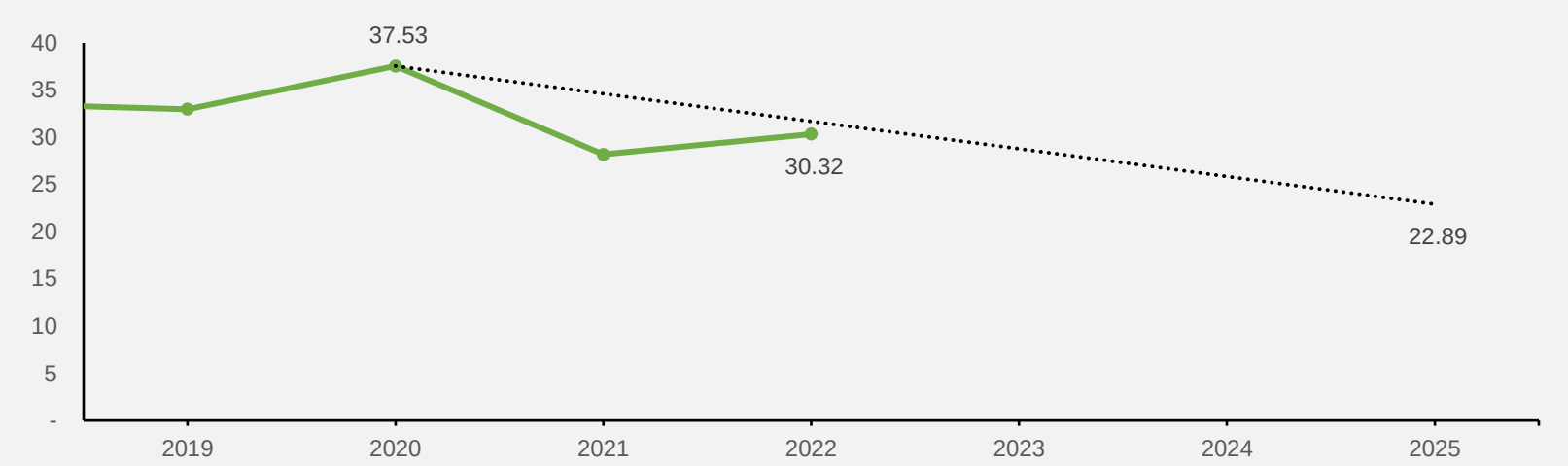
AER ARO Spend Requirements



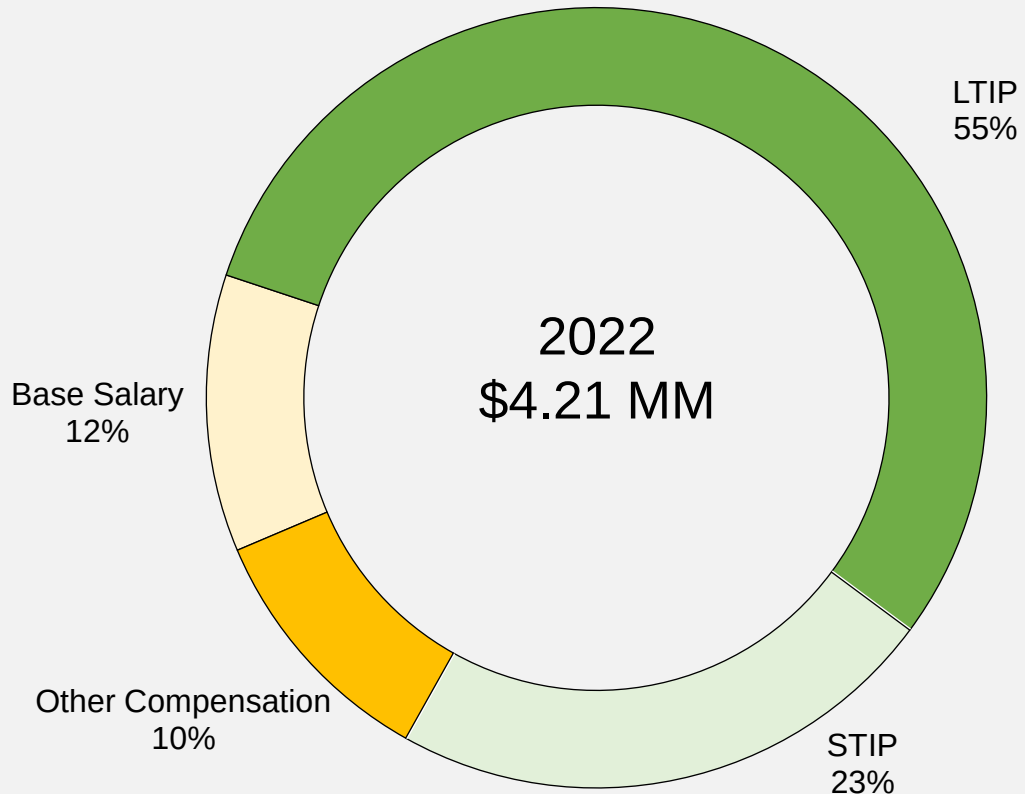
Indigenous Workforce Participation



GHG Emissions Intensity Progress (*kg CO₂e/boe*)



Executive Compensation



Executive Compensation Remarks

Benefits

- 1.0x median peer group base salary compensation
- Defined and disclosed STIP metrics
- 78% CEO At-Risk pay

Drawbacks

- Duplication of metrics in STIP and LTIP
- Lack of disclosure for exact targets in STIP and LTIP

Shareholder Rights

Benefits

- \$10 MM Change in Control from acquisition to CEO
- Single class share structure

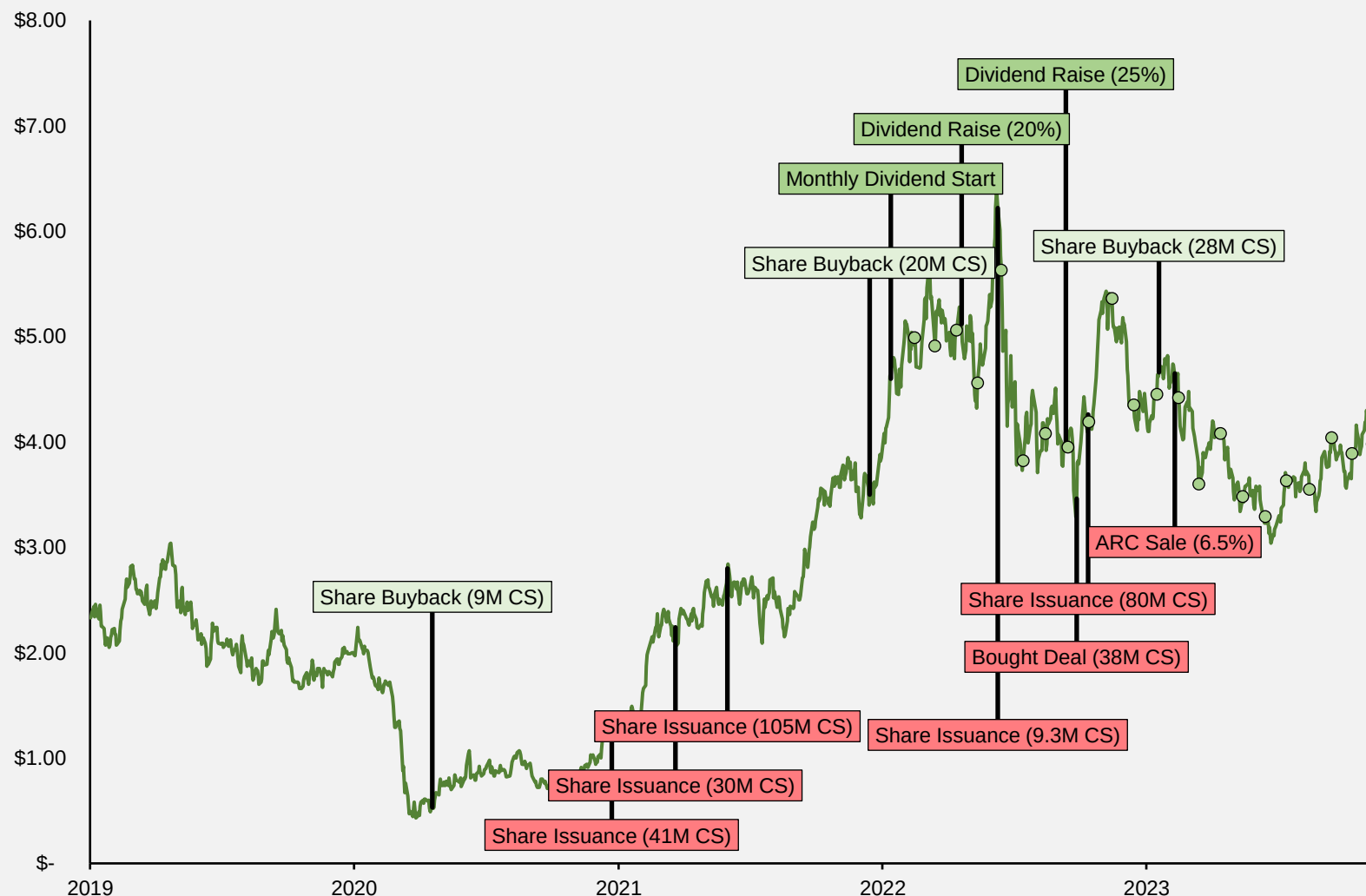
Drawbacks

- Shareholders do not have a Say on Pay vote
- 41% voting participation

Key Takeaways: Executive Compensation aligns heavily with returns to shareholders

SHAREHOLDER CAPITAL TIMELINE

Changes in Shareholder Capital History (\$/share)



Sustainable Free Funds Flow Strategy

Dividends

TVE is committed to paying a sustainable monthly dividend and has been increasing its dividend over since first announcement (first increase preceded the Rolling Hills acquisition. The second increase preceded the Deltastream acquisition)

TVE has disclosed plans for special dividends upon reaching specific leverage ratios to return greater capital to shareholders. Currently it is still in a tier of prioritizing reduction of debt.

Buybacks and Common Stock Issuances

TVE claims to be committed to share buybacks however announces buybacks while issuing new equity in the same fiscal year. This defeats the purpose of a share buyback; however, it appears to be pausing new acquisitions for the recent future and will likely relax new share issuances to finance new assets.

ESG OVERVIEW

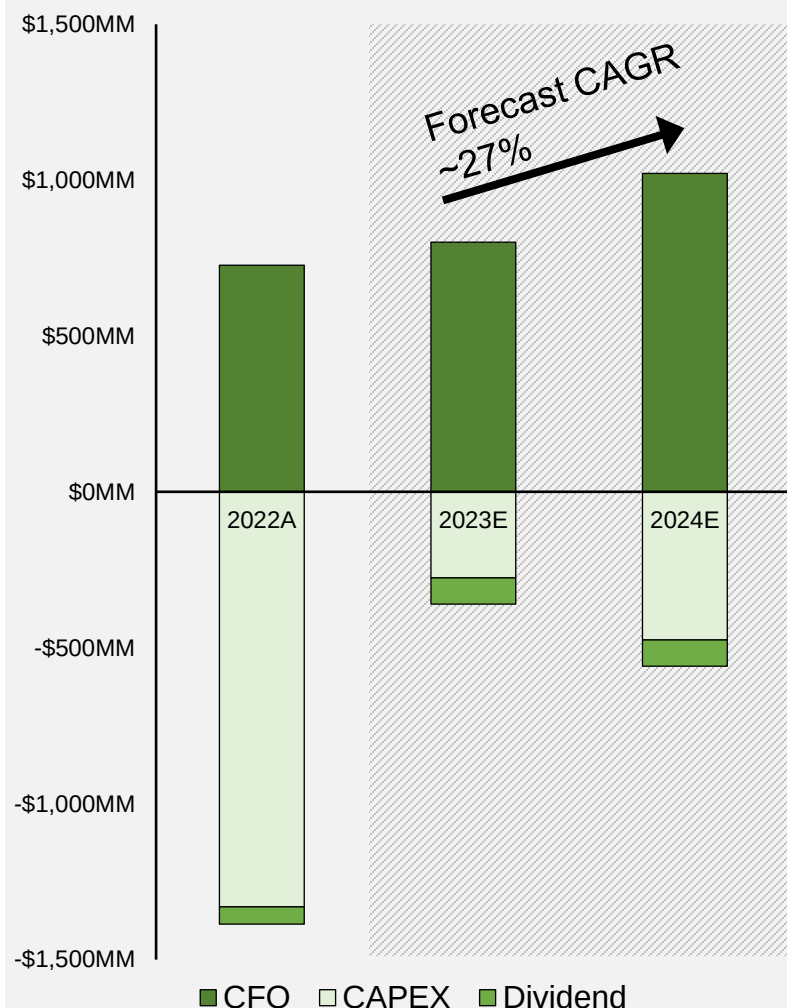
Board of Directors				
Name	Audit	Gov. & Comp	ESG	Reserve
John Rooney (Chair)	✓	✓	✓	
Caralyn Bennett				
Jeffery Boyce	✓		✓	
Kathleen Hogenson			✓	✓
John Leach	✓			✓
Marnie Smith	✓	✓		
Robert Spitzer		✓		✓
Brian Schmidt (CEO)				

ESG Score	
Environment (40%)	
<i>Emissions Management</i>	2
<i>Asset Retirement Responsibility</i>	3
E Score	2.5
Social (20%)	
<i>Indigenous Relations</i>	3
S Score	3
Governance (40%)	
<i>Executive Compensation</i>	3
<i>Shareholder Rights</i>	2
<i>Board of Directors</i>	3
G Score	2.5
ESG Score	2.7/3

Key Takeaways: TVE is an ESG Leader who is utilizing its commitments to finance projects at a more competitive rate

FCF PROFILE & INCREASED NETBACKS

Free Cash Flow Profile



Infrastructure Optimization Supporting Increased Netbacks & FCF Growth

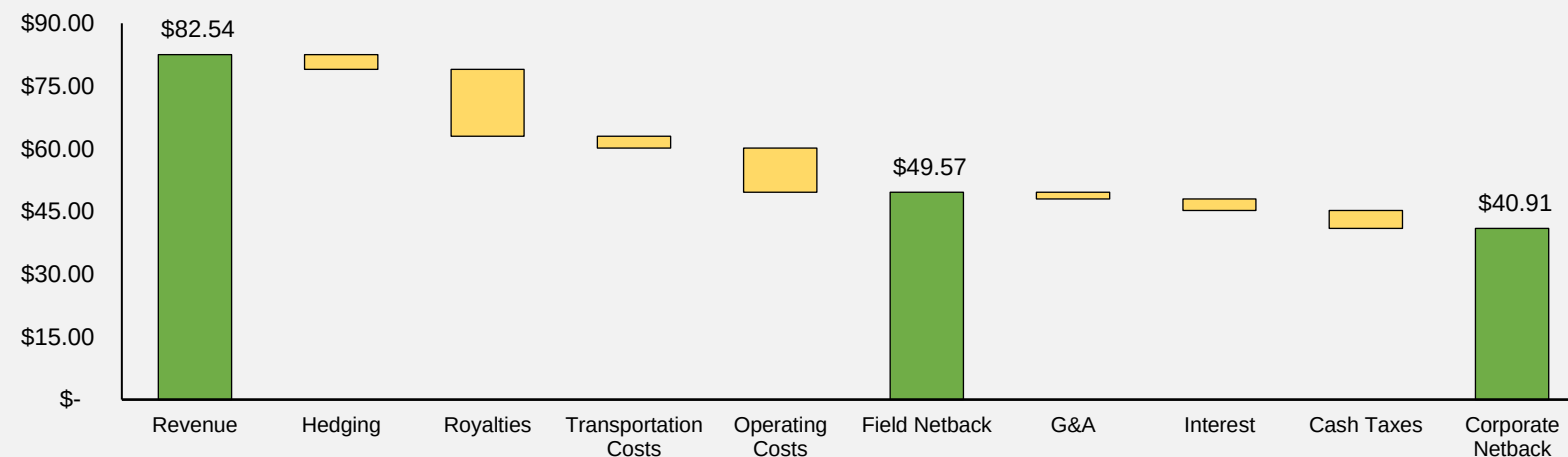
Netback per BOE continues to be optimized through efficient infrastructure initiatives that drive the reduction of transportation and production costs and support the growth in CFO, such as:

- Wembley Gas Plant which has served to reduce exposure to third party downtime and reduce operating costs.
- Nipisi blending terminal & pipeline which provides access to premium pricing and additional egress.
- Clearwater fan well designs and waterflood techniques to increase reserve life and lower decline rates.

Historically, Tamarack has a sustainable break-even WTI price of US\$42/bbl. Tamarack has managed these risks through derivative contracts ensuring adequate security in volatile pricing environments.

Tamarack maintains a guidance of \$475mm in CAPEX for 2023 & 2024, allowing growth in CFO to generate greater FCF margins and flexibility for dividend payments and buybacks.

Cash Netback Waterfall 2022



STRONG BALANCE SHEET

Debt Repayment and Return of Capital

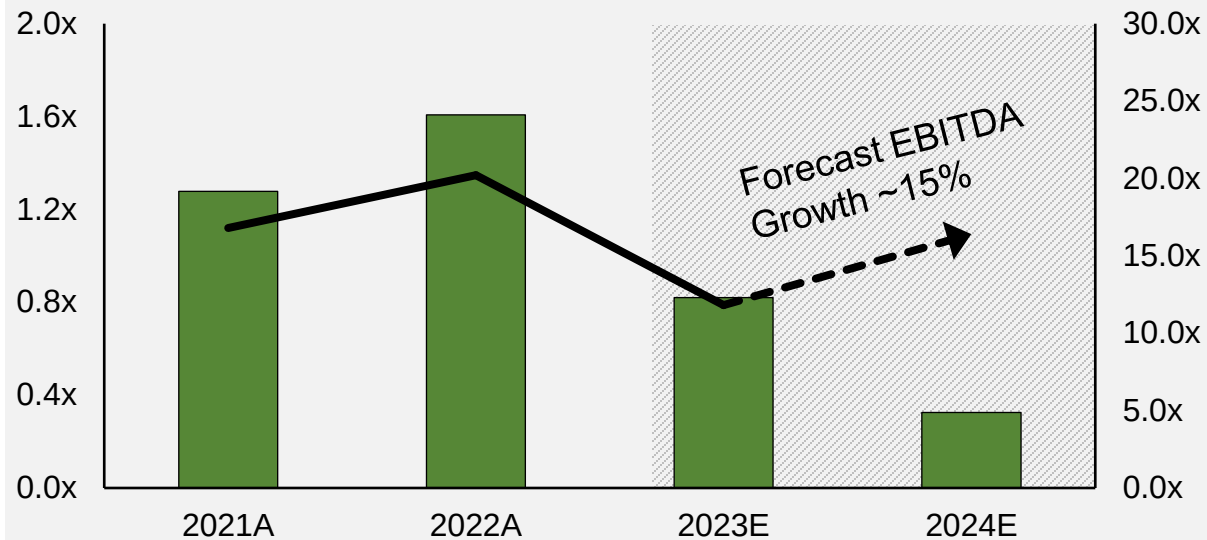
Tamarack's key focus on FCF use in the future is repayment of debt and return of capital to shareholders via dividends and buybacks.

Tamarack showcases strong balance sheet health and is well positioned to service debt obligations, evidenced through their last year 20.2x EBITDA/Interest, and their 2023 Q3 covenant position.

Management's ROC framework ramps payouts as leverage is reduced to key debt levels:

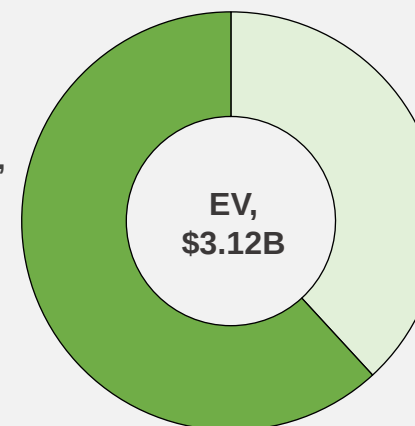
- Tamarack plans to return 25%/50%/75% of excess free cash flow to shareholders upon reaching \$1.1B/ \$900mm/\$500mm in net debt, respectively. Tamarack is expected to reach its initial \$1.1B net debt threshold by year-end 2023.

LHS Total Debt/EBITDA vs RHS EBITDA/Interest



Capital Structure

Market Capitalization,
\$1.99B



Total Debt
\$1.23B

Covenants

Total Debt to EBITDA

< 3.0x:1.0x

Senior Debt to EBITDA

< 2.5x:1.0x

Debt Service Coverage

> 1.5x:1.0x

Covenant	Total Debt EBITDA	Senior Debt EBITDA	Debt Service Coverage
Position as of September 30, 2023	(1.3x:1.0x)	(0.9x:1.0x)	(3.1x:1.0x)

NET ASSET VALUE & STREET TARGETS

Valuation Overview

- A bull/bear/base case analysis was applied to analyze the outcomes of a volatile pricing environment.
- Acreage value was determined using a blended average of key area mineral rights & surface lease costs.
- Prices and production rates were determined using management guidance, independent assessments from Sproule, GLJ, and Street Research.
- Ultimately, the target price was confirmed using results from the base case scenario, which is in-line with Street estimates.
- Based on the valuation, we believe Tamarack is attractively positioned to be acquired.

Street Targets & Key Risks Identified

NBF	\$7.00	1 Commodity Price Volatility
RBC	\$5.50	2 Regulatory and Environmental Risks
Stifel	\$6.25	3 Market Access and Egress
ATB	\$7.00	4 Surface Conditions
Acumen	\$5.75	5 Well & Waterflood Performance

Bear Case

NPV of Reserves \$ 3,757 MM

Acreage \$ 432 MM

Total Assets \$ 4,189 MM

Net Debt \$ 1,245 MM

Net Asset Value \$ 2,944 MM

Shares Outstanding 556 MM

Bear NAV/Share \$5.29

Base Case

NPV of Reserves \$ 4,293 MM

Acreage \$ 432 MM

Total Assets \$ 4,725 MM

Net Debt \$ 1,245 MM

Net Asset Value \$ 3,480 MM

Shares Outstanding 556 MM

Base NAV/Share \$6.25

Bull Case

NPV of Reserves \$ 4,627 MM

Acreage \$ 432 MM

Total Assets \$ 5,059 MM

Net Debt \$ 1,245 MM

Net Asset Value \$ 3,814 MM

Shares Outstanding 556 MM

Bull NAV/Share \$6.85

RELATIVE COMPANY ANALYSIS

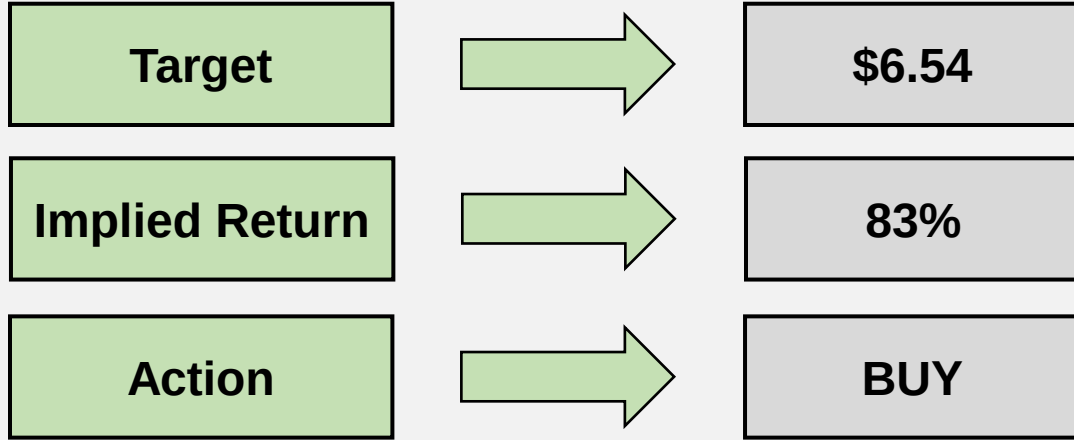
Relative Analysis

(\$ in millions, except per share data or as otherwise indicated)

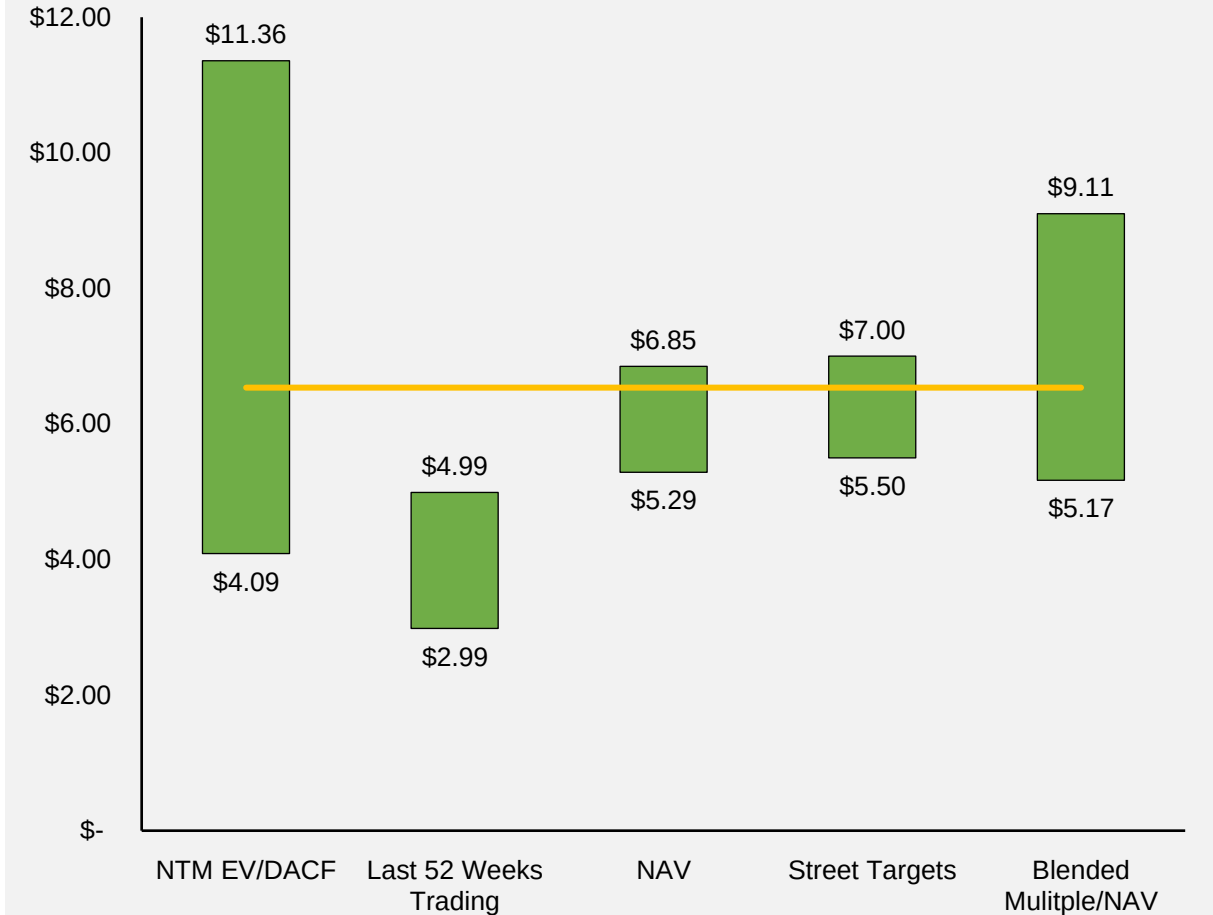
Company Name	Market Data ⁽¹⁾					Financial & Operational Data				Multiples			
	Ticker Symbol	Price	Shares Outstanding	Market Cap	Enterprise Value	EBITDA		DACF		EV/EBITDA		EV/DACF	
						LTM	NTM	LTM	NTM	LTM	NTM	LTM	NTM
Baytex Energy	BTE	\$5.29	835	4,668	7,308	1,415	2,432	1,246	1,922	5.2x	3.0x	5.9x	3.8x
Enerplus Corporation	ERF	\$22.42	206	4,608	4,907	1,058	1,107	970	856	4.6x	4.4x	5.1x	5.7x
Crescent Point Energy	CPG	\$9.75	573	5,590	8,602	1,160	1,263	2,269	2,760	7.4x	6.8x	3.8x	3.1x
Whitecap Resources	WCP	\$9.76	605	5,902	7,046	1,402	2,204	1,879	1,590	5.0x	3.2x	3.7x	4.4x
Spartan Delta Corp.	SDE	\$4.12	173	714	759	595	323	637	286	1.3x	2.4x	1.2x	2.7x
Kelt Exploration Ltd.	KEL	\$7.38	194	1,433	1,402	295	330	287	211	4.8x	4.2x	4.9x	6.7x
Vermilion Energy Inc.	VET	\$17.87	164	2,925	3,928	2,092	1,625	1,213	532	1.9x	2.4x	3.2x	7.4x
Median										4.8x	3.2x	3.8x	4.4x
Tamarack Valley Energy Ltd.	TVE	\$3.98	557	2,216	3,492	932	1,136	718	857	3.7x	3.1x	4.9x	4.1x

INVESTMENT DECISION

Valuation Summary



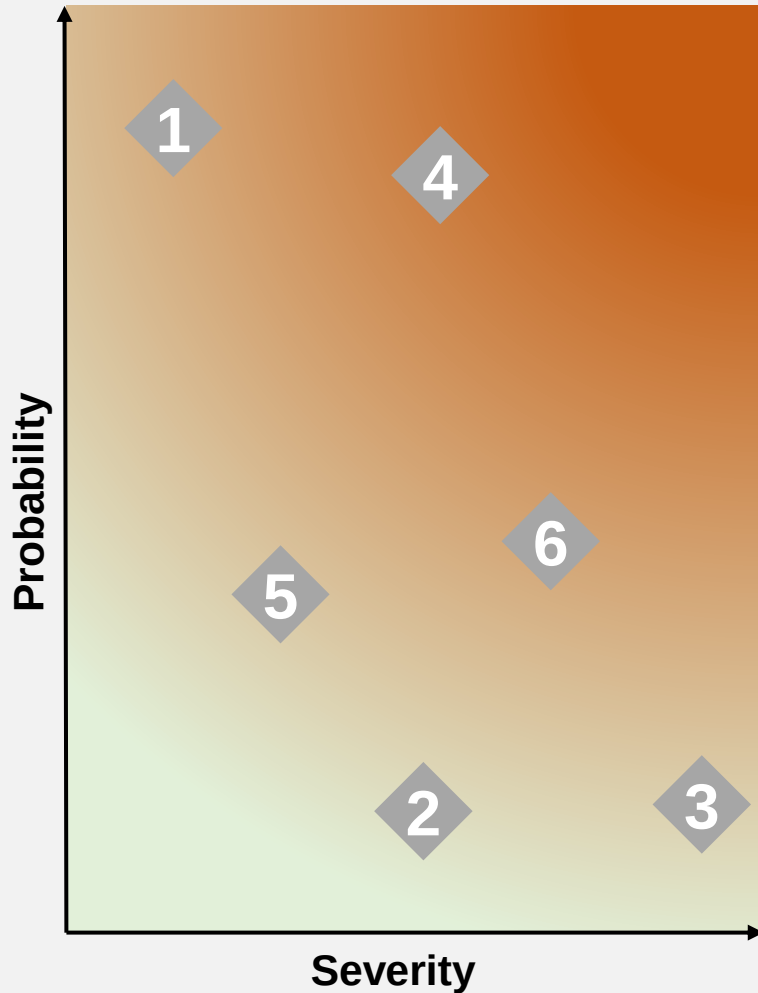
TVE Football Field Valuation



Relative Valuation		Net Asset Valuation		Valuation Summaries	
Median NTM EV/DACF	4.4x	Bear	\$5.29	Intrinsic	\$6.25
		Base	\$6.25	Relative	\$6.82
NTM EV/DACF	\$6.82	Bull	\$6.85	Street Average	\$6.30

Key Takeaways: Team A recommends establishing a position in the form of a stock purchase.

Risk Materiality



Risks

1 Commodity Price Volatility Revenue is solely based on market price.	4 Asset Consolidation Recent divestiture of its Cardium Assets, increases TVE's exposure to geopolitical uncertainties.
2 Regulatory and Environmental Risks TVEs cost of debt could increase if it doesn't achieve its target of a 39% reduction in its Scope 1 and 2 GHG emissions intensity by 2025.	5 Asset Location TVEs 2P reserves are located on or near 75% of Indigenous Land.
3 Market Access and Pipelines TVE can only grow its production if it can sell and transport its product.	6 Significant Portion of Debt Tamarack's recent acquisition of Deltastream significantly increased its leverage.

A wide-angle photograph of a vast, flat landscape under a blue sky with wispy clouds. In the middle ground, two oil pumpjacks are visible, surrounded by some infrastructure and utility poles. The foreground is a golden-yellow field, possibly of wildflowers or dry grass. The word "Questions?" is overlaid in white text, centered horizontally and partially obscured by a white line with dots at its ends.

Questions?

A photograph of an oil pumpjack in a field. The pumpjack is on the left side of the frame, with its long arm and counterweight visible. The background shows a line of trees and a distant building under a clear sky. The foreground is a field of dry grass.

Appendices

PRESENTATION MAP

Presentation Map

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Historical Leverage and FCF

[47. Historical Leverage vs Peers](#)

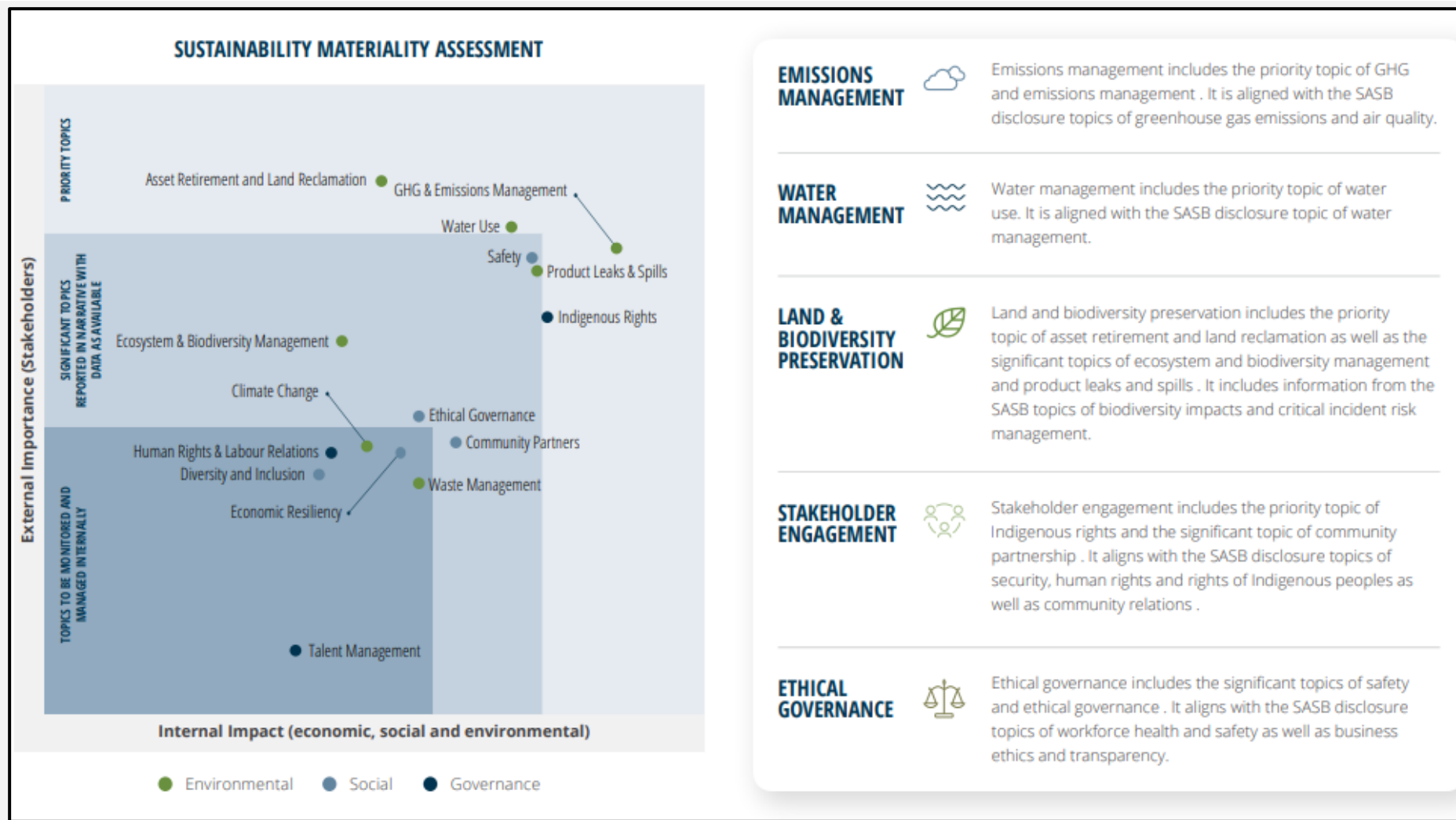
[48. Historical Leverage vs Select Peers](#)

[49. Historical FCF Profile](#)

Acquisitions

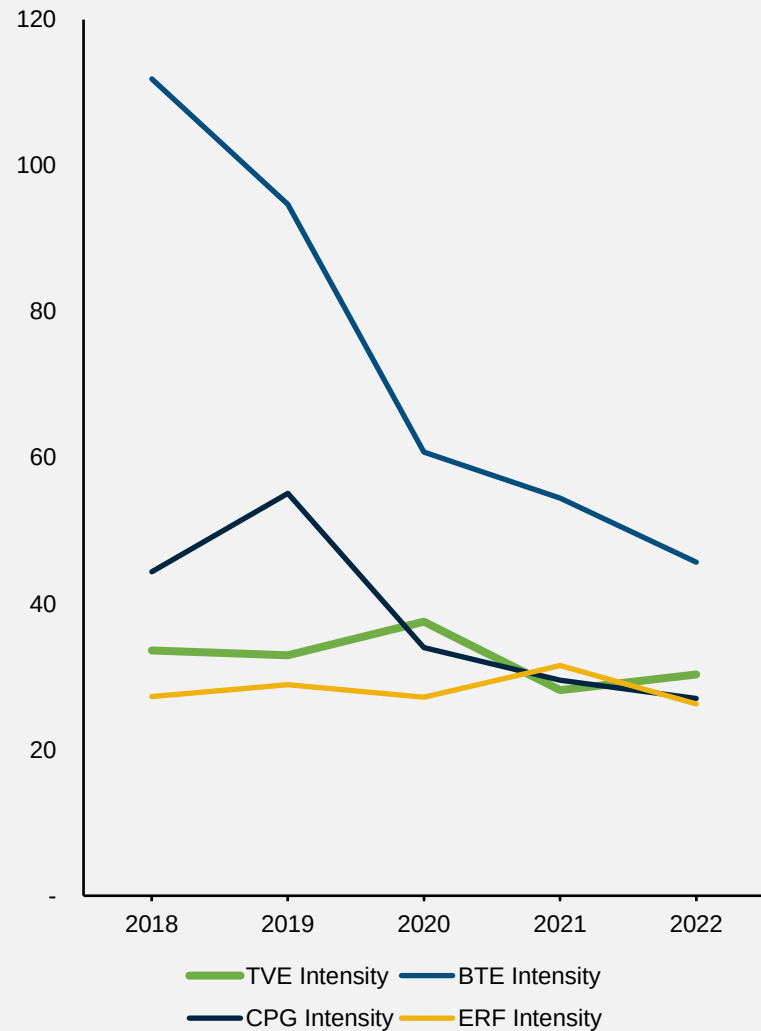
[50. Deltastream Acquisition](#)

Tamarack Valley ESG Materiality Map

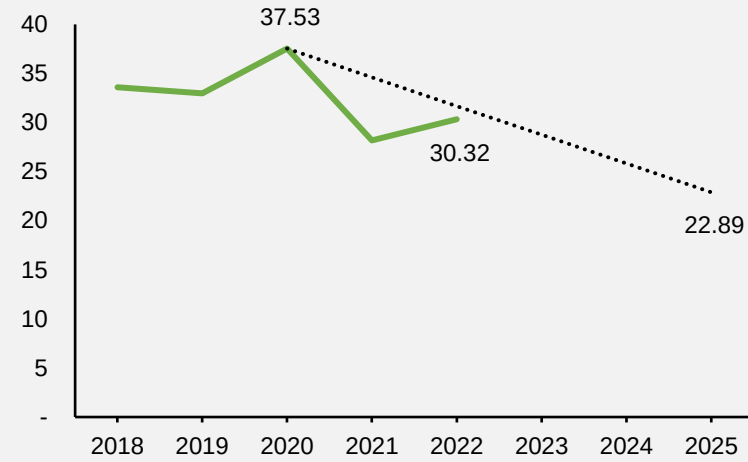


GHG EMISSIONS

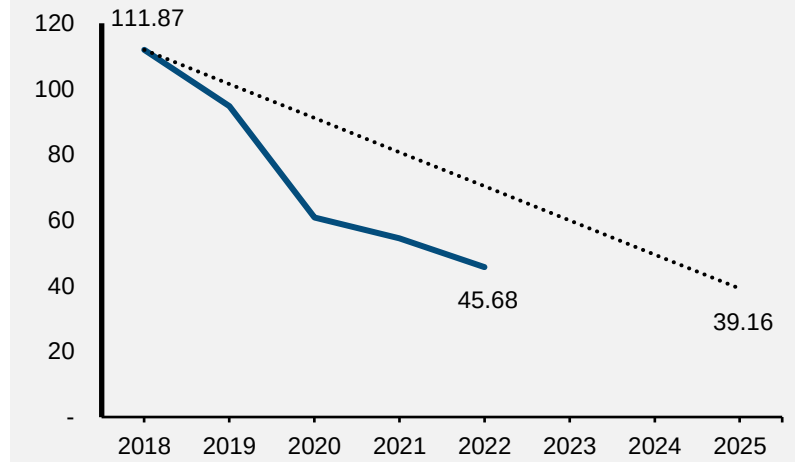
GHG Emission Intensity ($kg\ CO_2e/boe$)



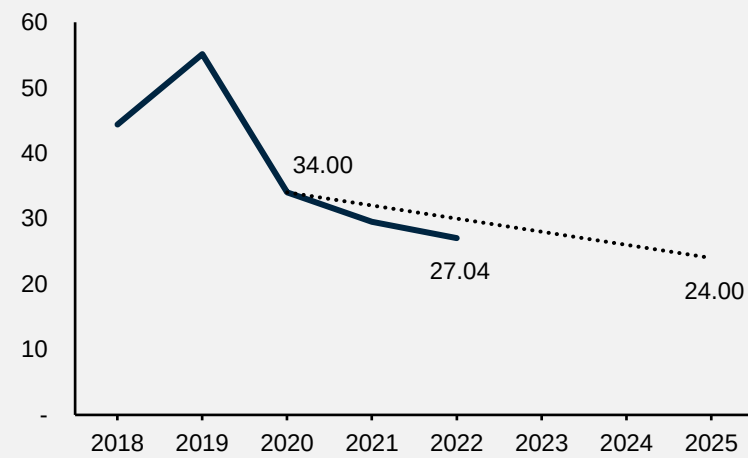
TVE Intensity Targets ($kg\ CO_2e/boe$)



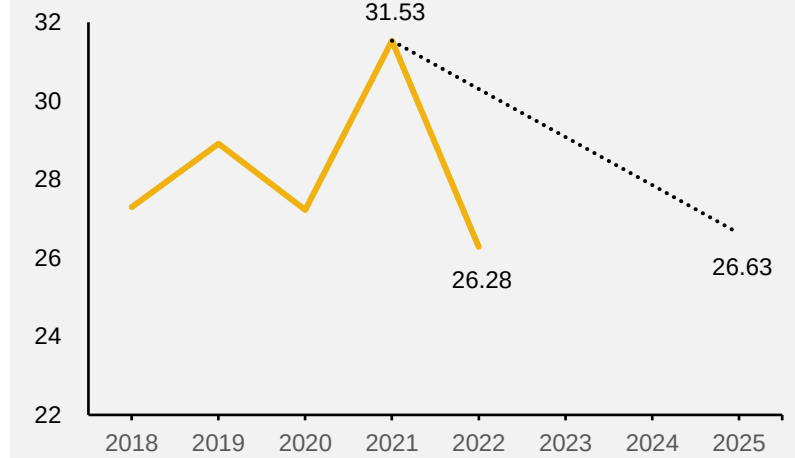
BTE Intensity Targets ($kg\ CO_2e/boe$)



CPG Intensity Targets ($kg\ CO_2e/boe$)

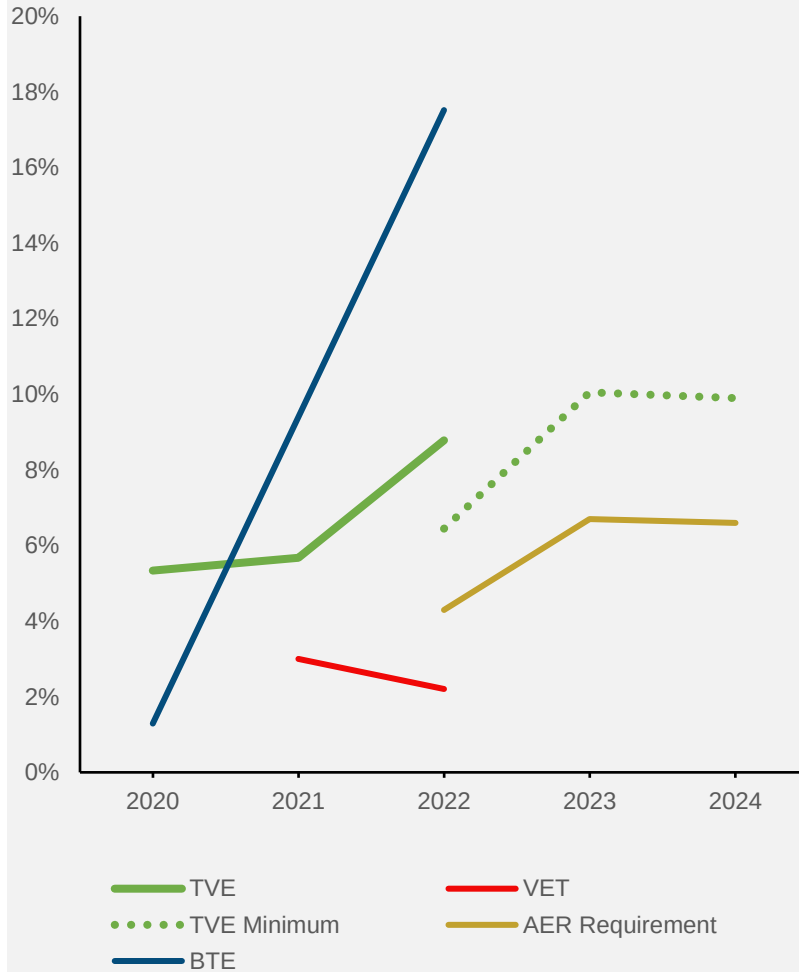


ERF Intensity Targets ($kg\ CO_2e/boe$)



AER ARO SPENDING

ARO Spend to Inactive Liability



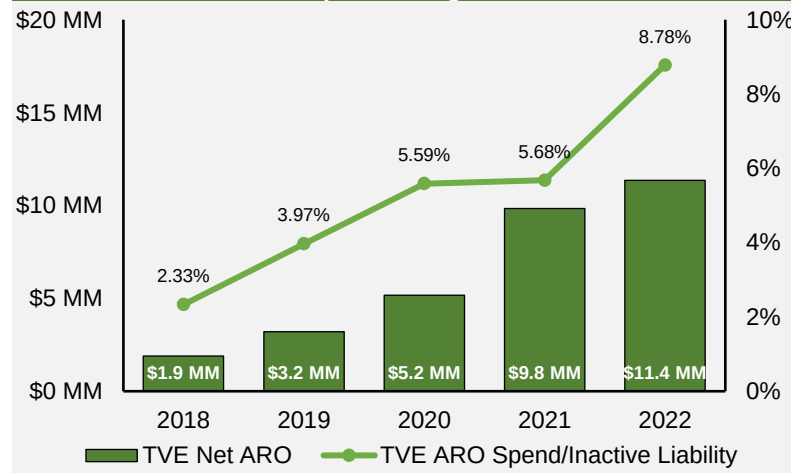
AER Mandatory Close Spend Quota

Year	2022	2023	2024
Higher Spend Rate	4.0%	6.7%	6.6%
Lower Spend Rate	3.3%	3.6%	3.6%

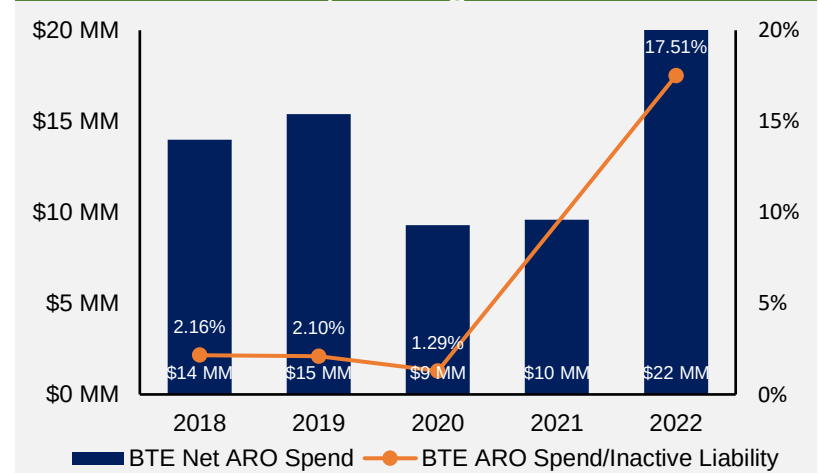
$$\text{Spend Quota} = \frac{\text{Asset Retirement Spending}}{\text{Inactive Liability (site specific)}}$$

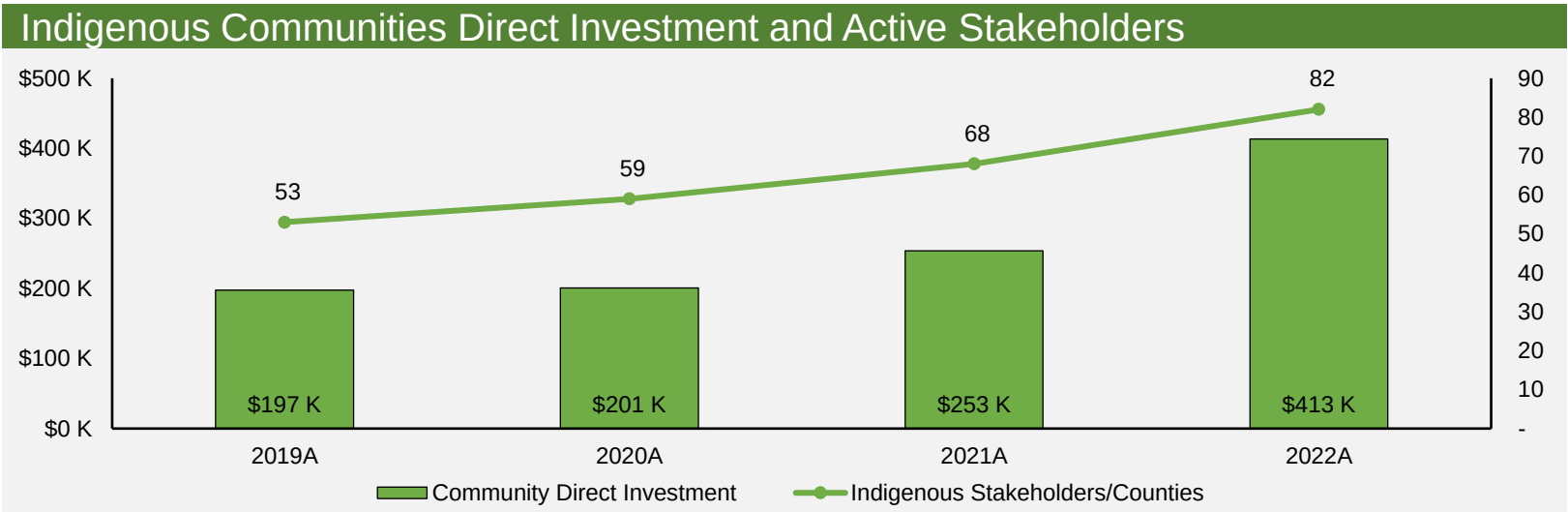
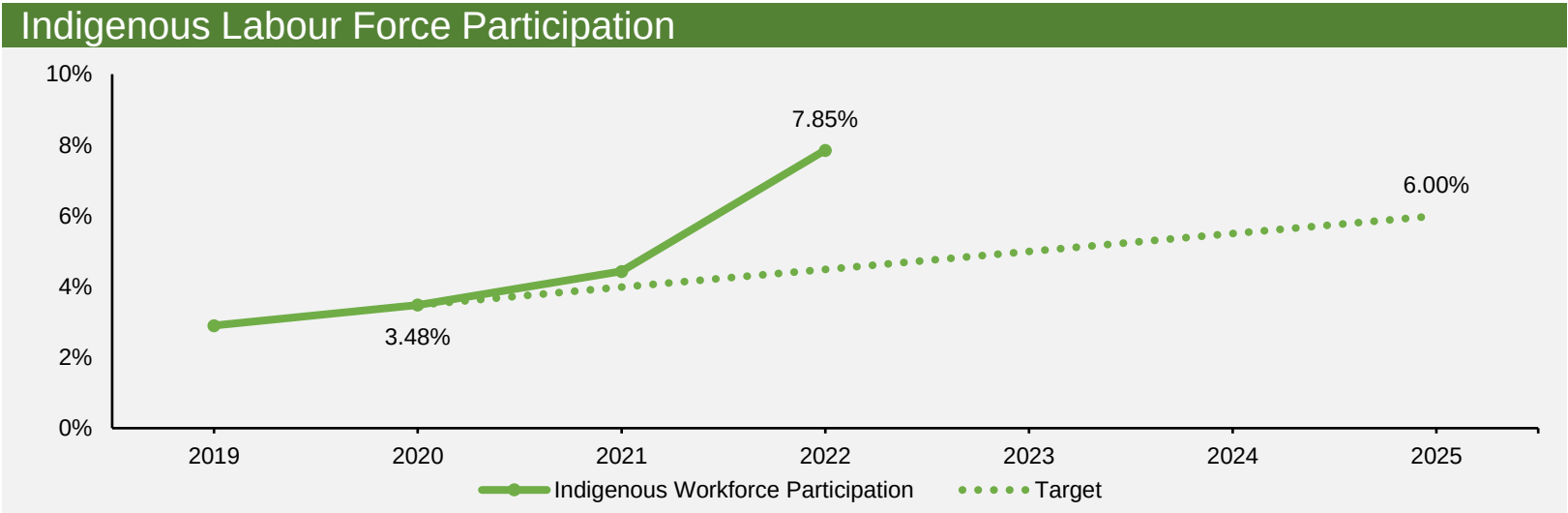
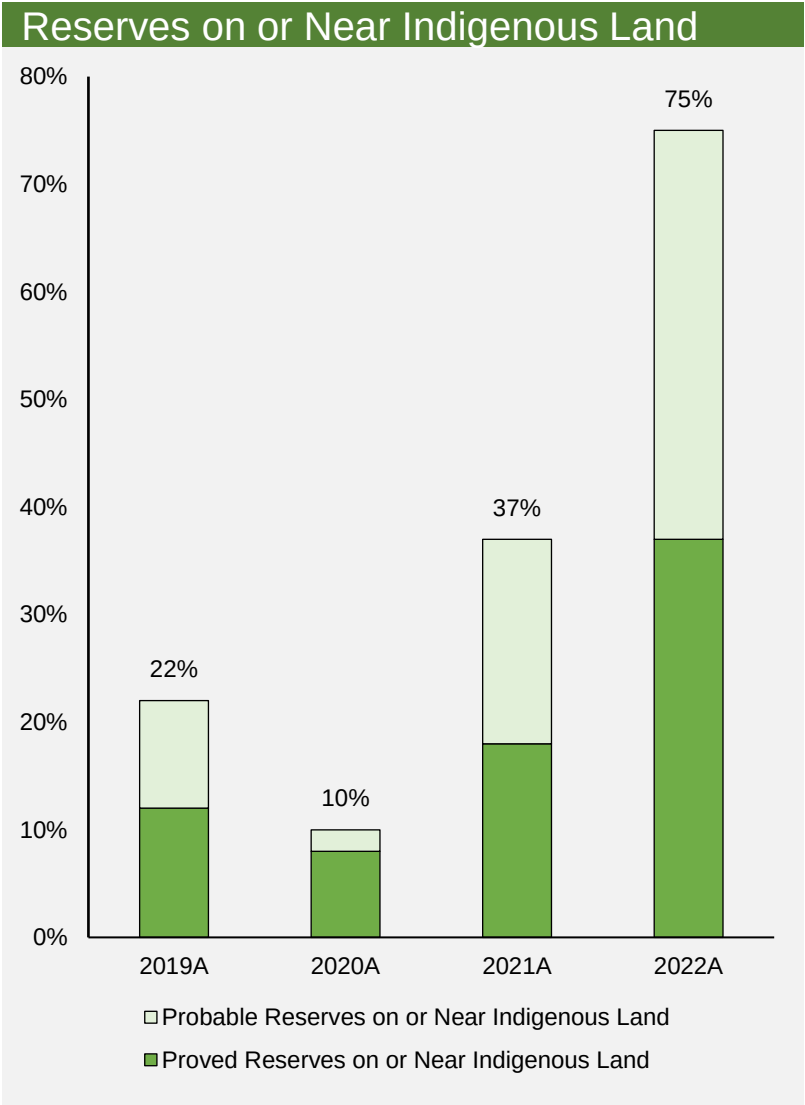
Lower spend rate applies to licenses with a high level of financial distress.

TVE Historical Spending



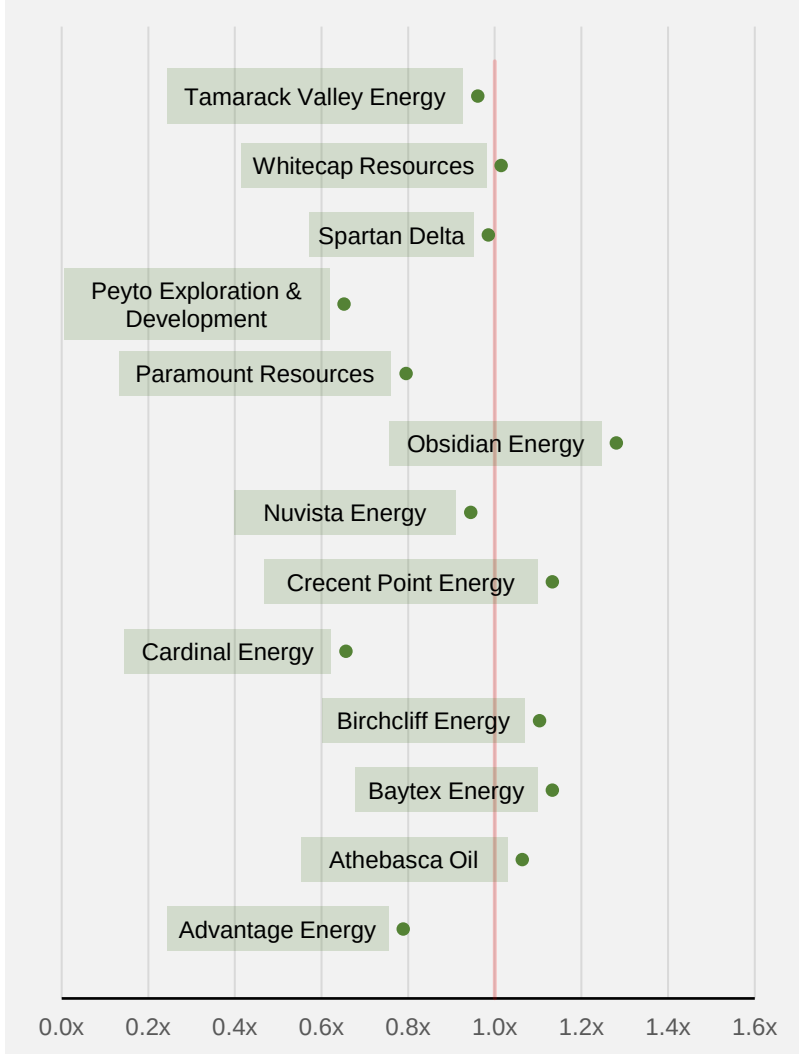
BTE Historical Spending



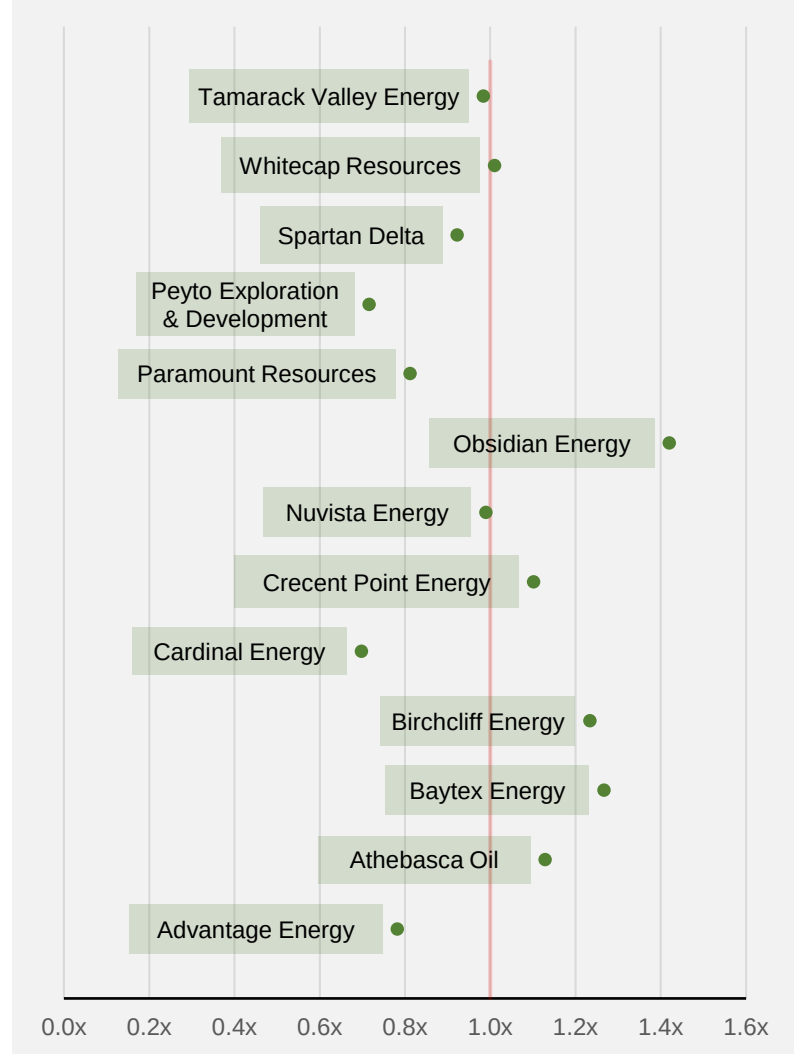


EXECUTIVE COMPENSATION PEER GROUP

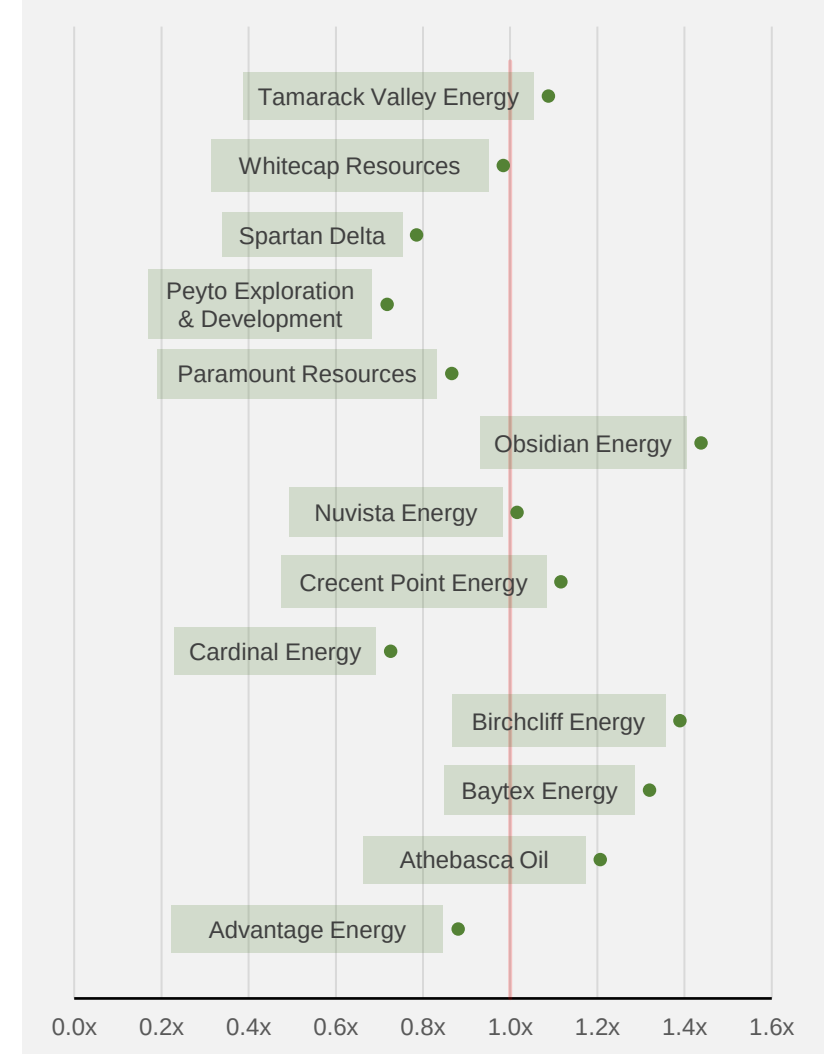
2022 Median Base Salary Peer Group



2021 Median Base Salary Peer Group



2020 Median Base Salary Peer Group



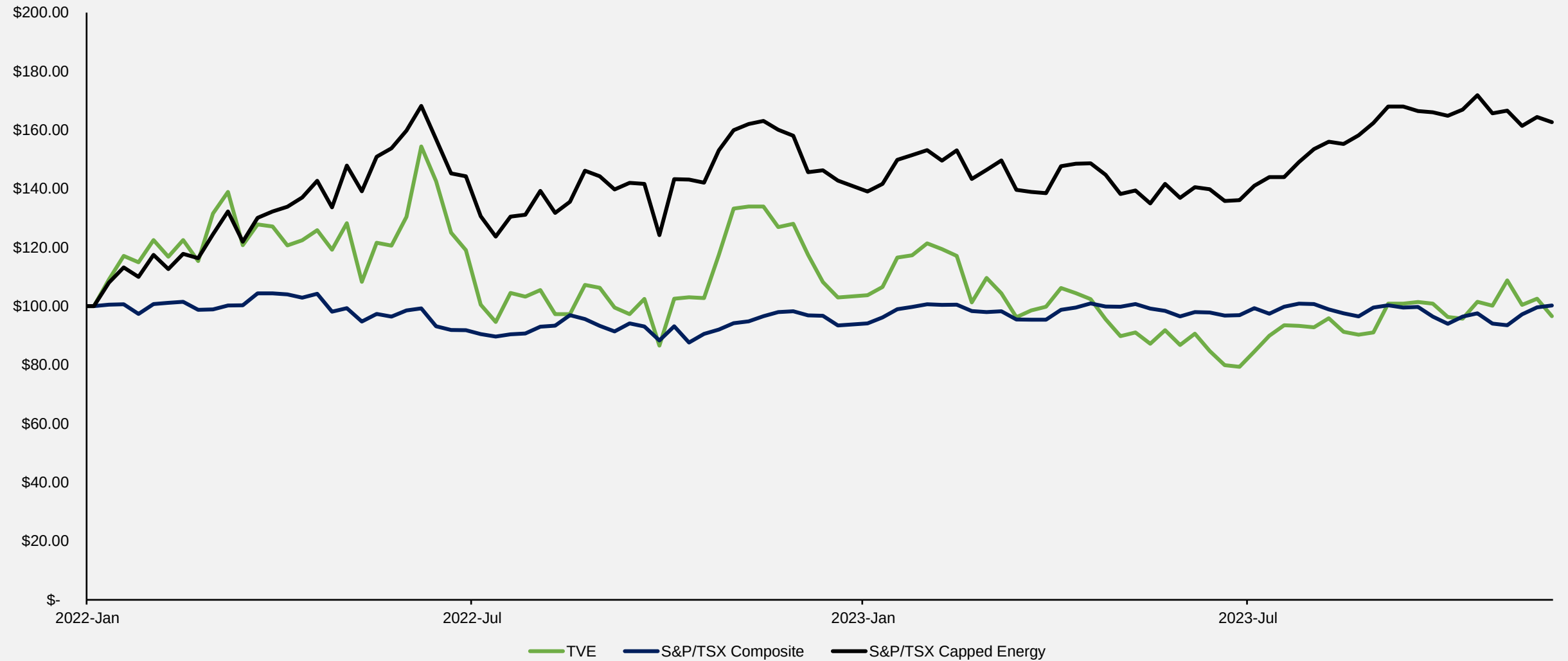
STIP AND LTIP METRICS

Long-term Incentive Scorecard	
Metric	Weight
Total Shareholder Return 50-50 blend of TSX Capped Energy and selected peer group	50%
8-year Debt Adjusted Free Cash Flow per Share	30%
Indigenous Workforce Representation	10%
Emission Reduction Target	10%

Short-term Incentive Scorecard	
Metric	2022 Result
Financial	
8-Year Plant Debt Adjusted Free Cash Flow Per Share	Exceeded Expectations
Holding Debt within 5%	Exceeded Expectations
G&A/BOE	Exceeded Expectations
Operational	
Total Production	Met Expectations
Lease Operating Costs	Below Expectations
AFE/Actual Costs	Below Expectations
Exit Decline Rate	Exceeded Expectations
Economic Inventory PIR	Met Expectations
Investment PIR	Met Expectations
Environment, Social, and Governance	
Asset Retirement Obligation	Met Expectations
GHG Emission Reduction	Met Expectations
Indigenous Relations	Met Expectations

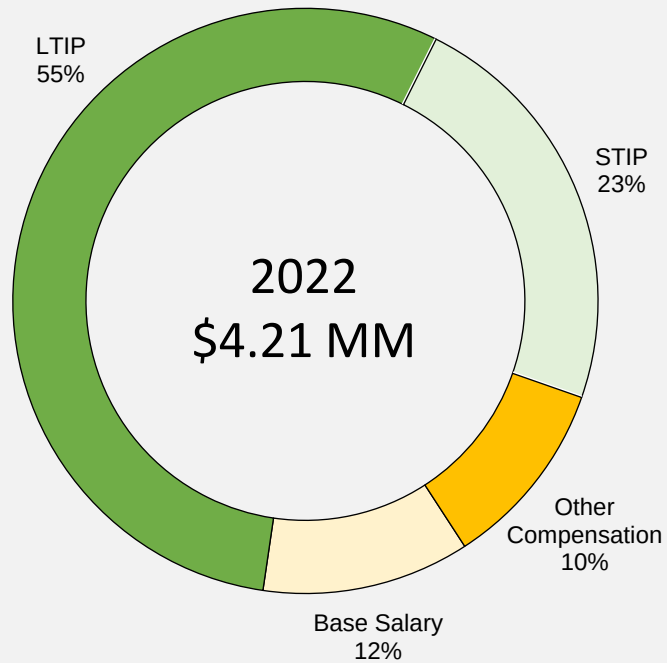
TOTAL SHAREHOLDER RETURN PEER GROUP

Total Shareholder Return vs Indices

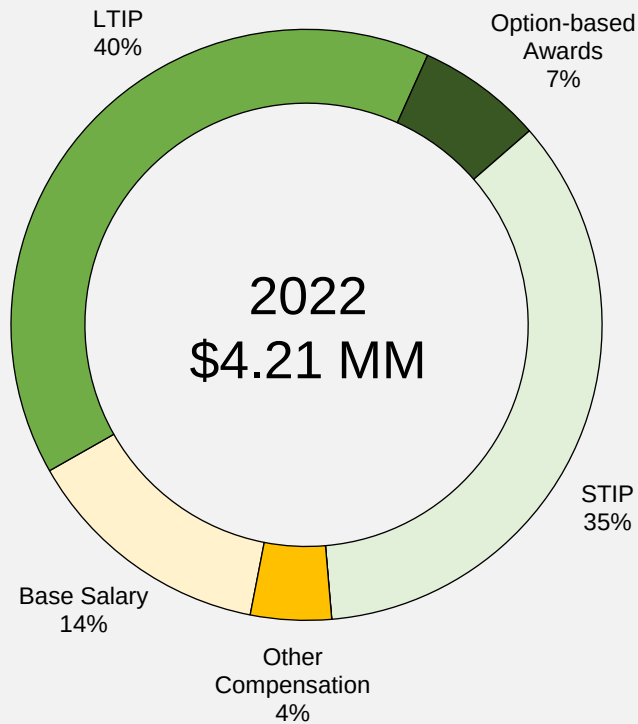


HISTORICAL CEO PAY BREAKDOWN

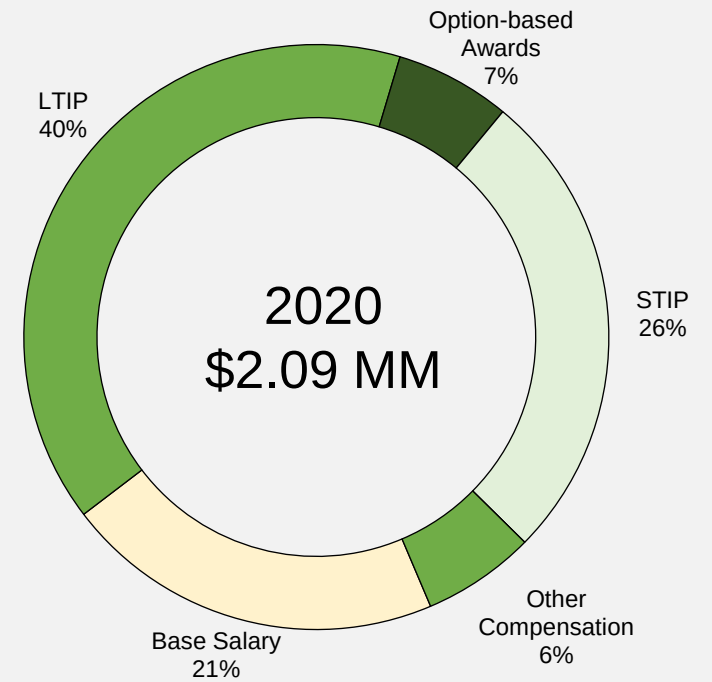
2022 Pay Breakdown



2021 Pay Breakdown

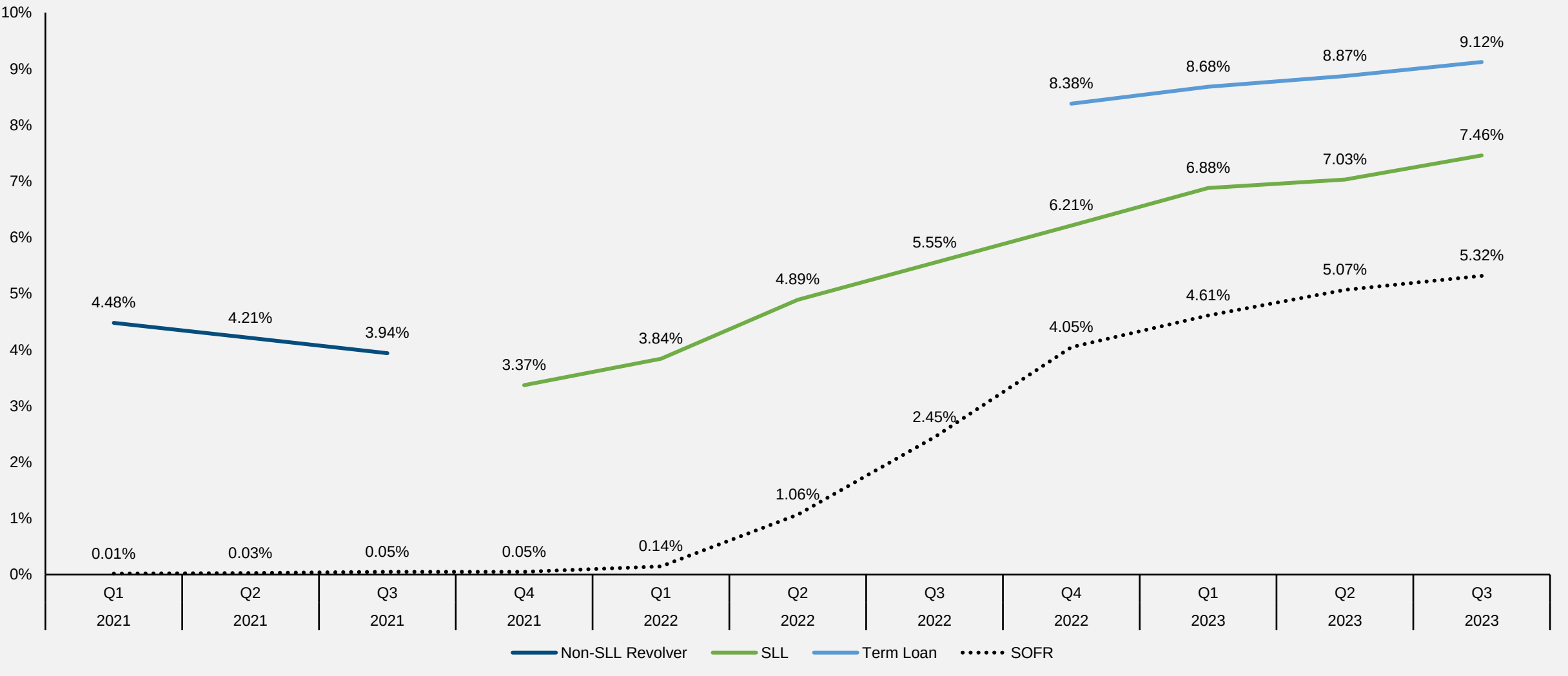


2020 Pay Breakdown



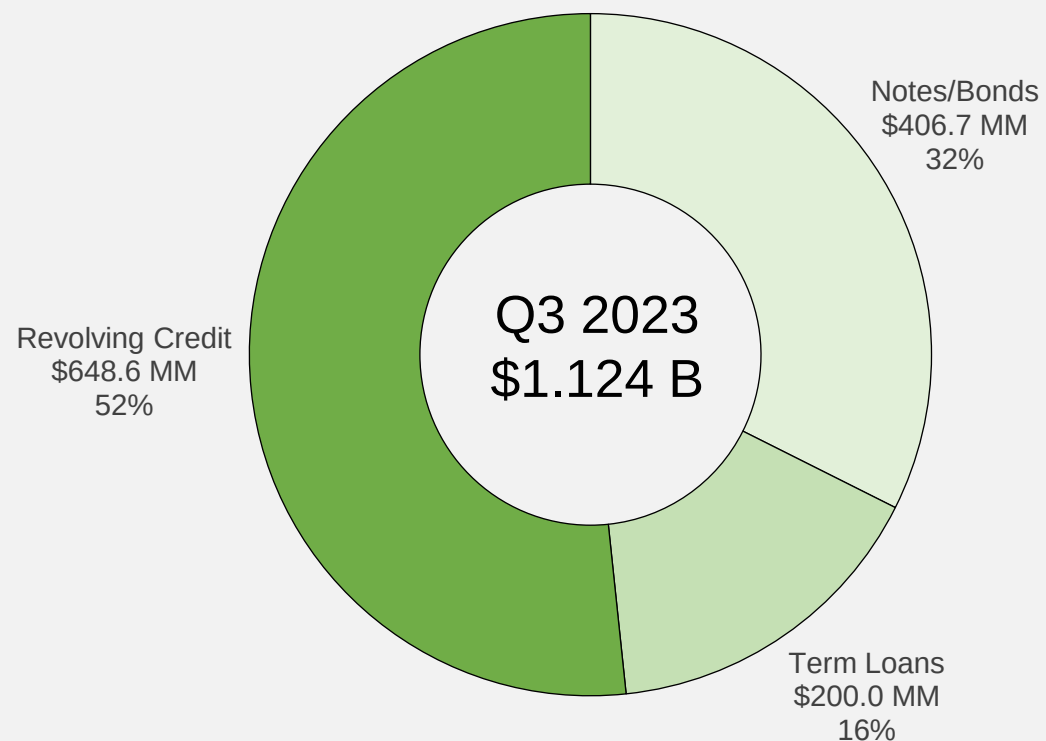
HISTORICAL COST OF DEBT

The Material Impact of Sustainability in Debt Financing



DEBT & CAPEX BREAKDOWN & LIQUIDITY

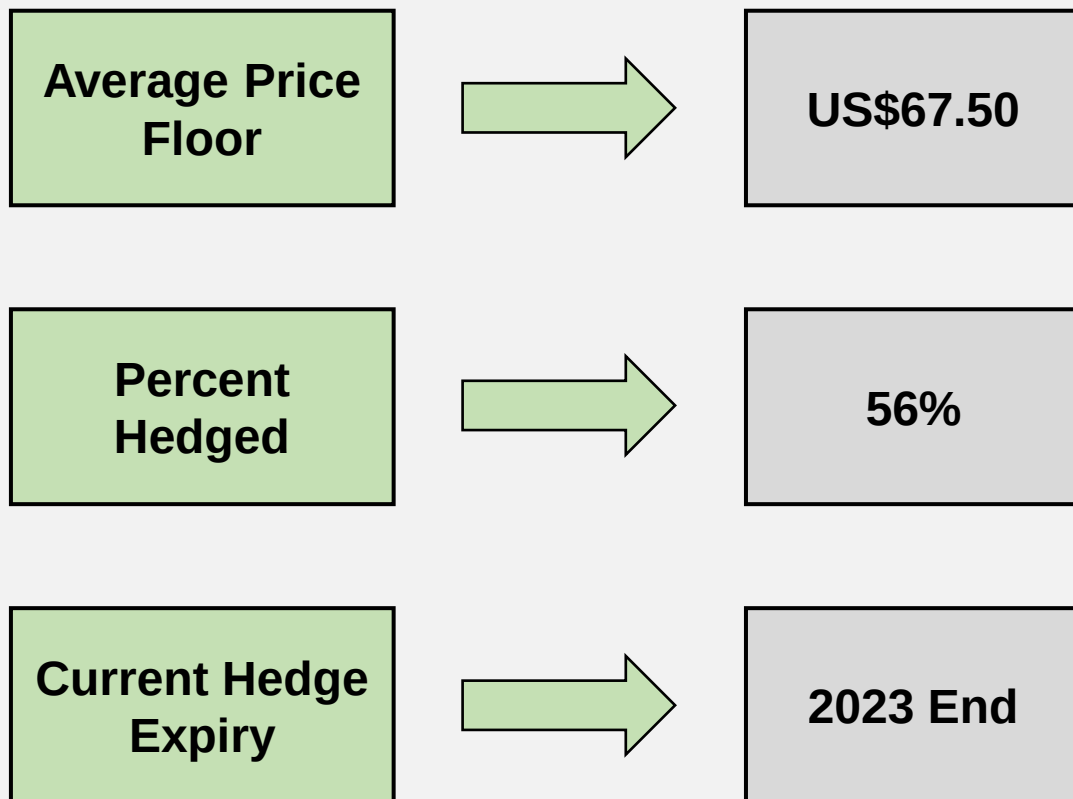
Debt Breakdown



CAPEX Breakdown

	Three months ended September 30,			Nine months ended September 30,		
(\$ thousands)	2023	2022	(%) change	2023	2022	(%) change
Drilling, competition, and equipping	\$85,660	\$76,292	12	\$262,117	\$232,203	13
Facilities	36,157	15,475	134	116,665	43,047	171
Land, seismic and other	942	6,684	(86)	9,970	58,051	(83)
Exploration and development expenditures	\$122,759	\$98,451	25	\$388,752	\$333,301	17
Property acquisitions	800	-	-	15,887	-	-
Proceeds from dispositions	(38,987)	(39,498)	(1)	(41,438)	(54,980)	(25)

Derivatives



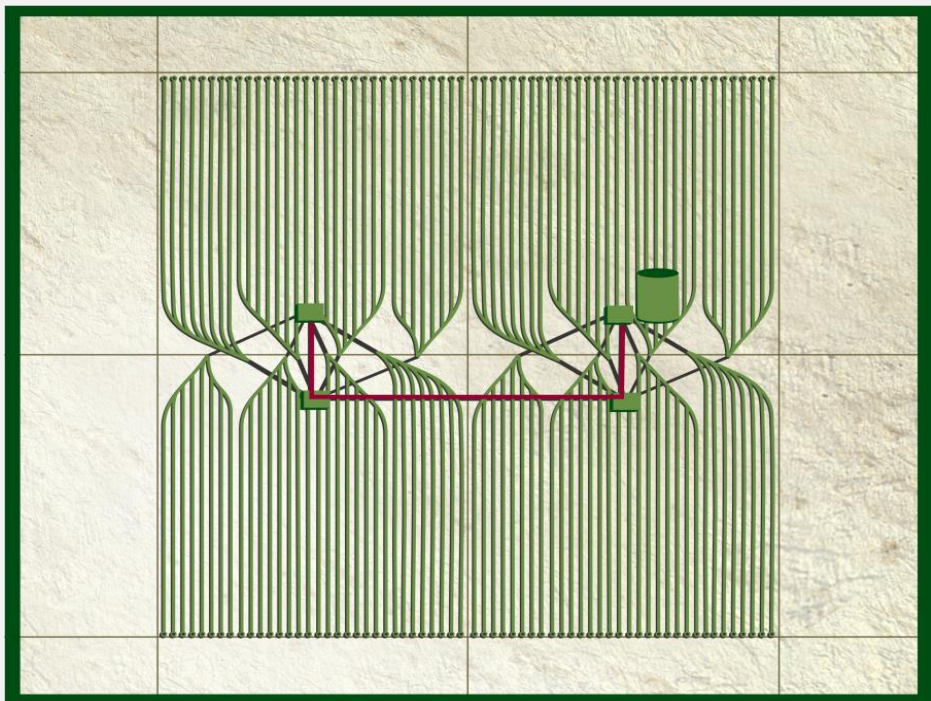
Collars

Derivatives		
WTI 2-way Collar		
Volume (bbls/d)	20,000	
Average Put/Call	67.00	87.54
Premium (USD/bbl)	1.93	
Volume (bbls/d)	850	
Average Put/Call (CAD/bbl)	80.44	108.64
WTI Fixed Price		
Volume (bbls/d)	200	
Average Fixed Price (CAD/bbl)	91.75	
AECO – NYMEX Basis		
Volume (mmbtu/d)	17,500	
Average Fixed Price (USD/mmbtu)	(1.87)	
NYMEX Collar		
Volume (mmbtu/d)	17,500	
Average Fixed Price (USD/mmbtu)	4.56	6.98

OPTIMIZED FAN WELL DESIGN

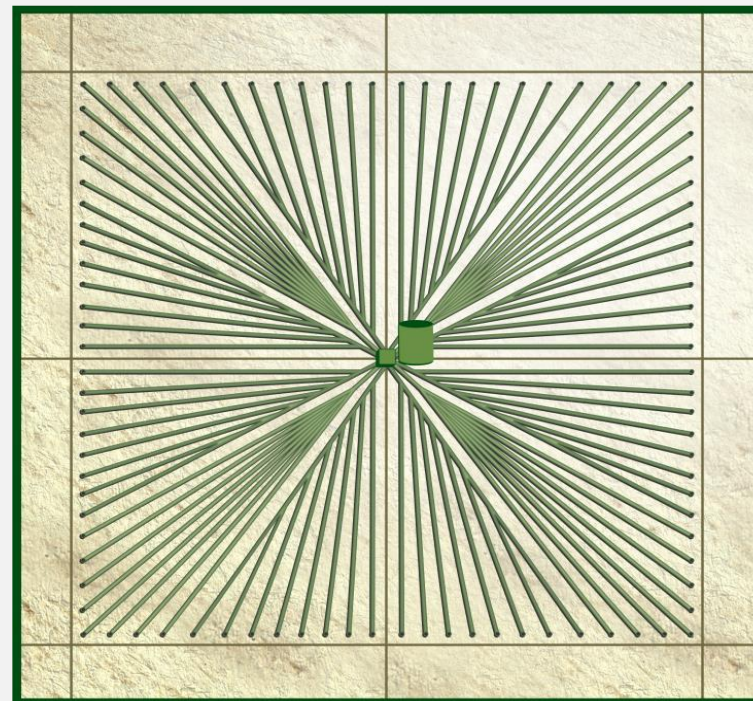
Historical Multi-lateral Design

- Requires multiple pad sites, additional gathering pipes and higher well count to capture comparable reserves



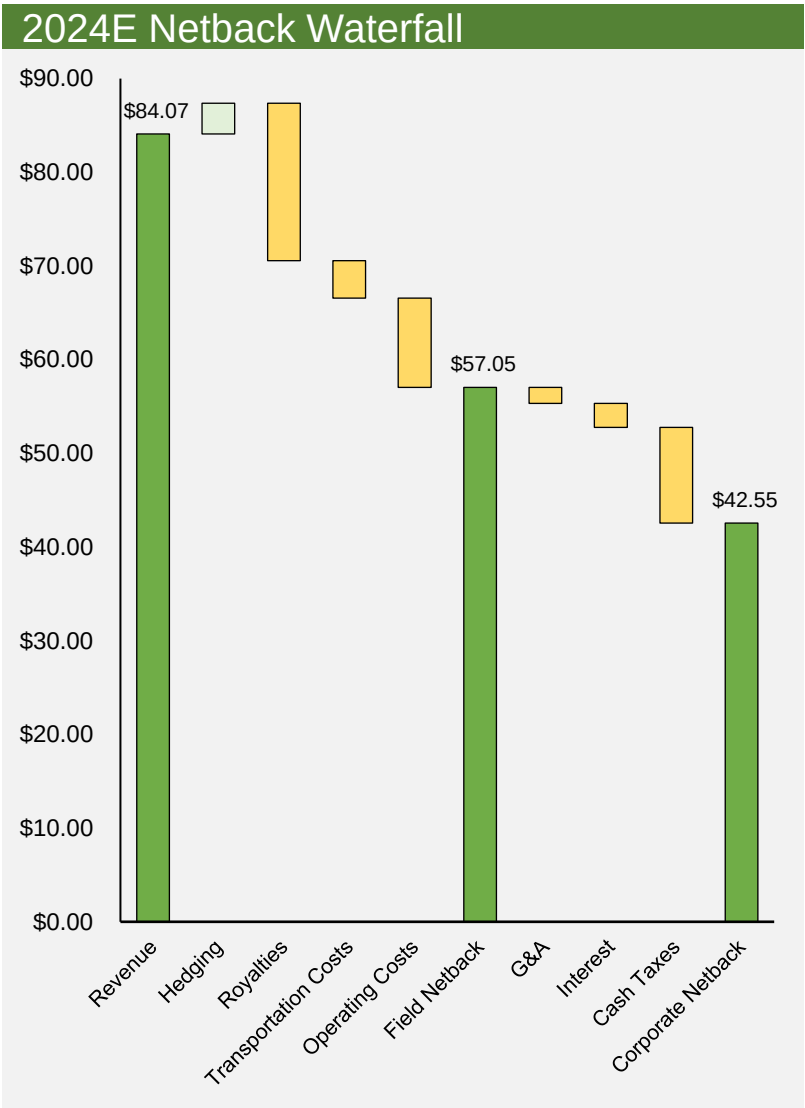
South Clearwater “Fan”

- 25% decrease in full development costs
- 30% increase in EUR per well
- Increases drill efficiency with more lateral meters per well and fewer turns

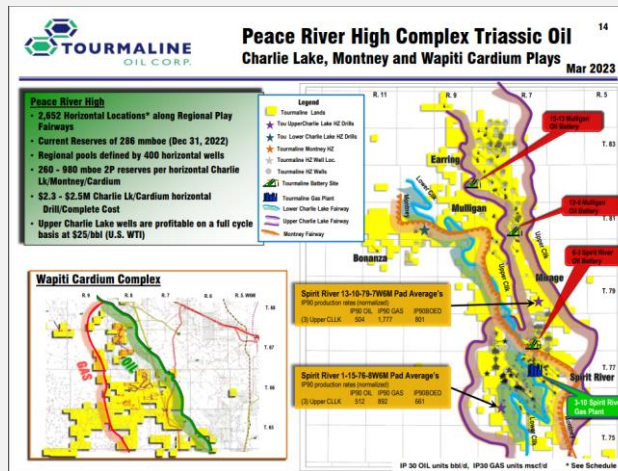
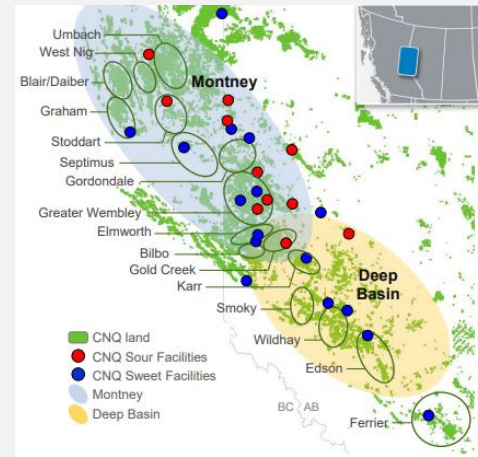


- Cuts future pad requirements by >50% resulting in lower lease and infrastructure costs
- Increases drill efficiency with more lateral meters per well and fewer turns

NETBACKS WATERFALLS



- CNRL's large FCF base and synergies with Charlie lake and Clearwater operations, combined with CNRL's owned infrastructure in the Clearwater area make TVE an attractive acquisition target for CNRL.
- CNRL is already the largest producer of heavy crude oil in Canada and maintains this competitive advantage through economies of scale and minimizing its costs through the efficient operation of owned infrastructure.
- TVE is the largest player in the Clearwater region, one of the premier economic oil plays in North America with quick payback periods and low drilling and completion costs.
- It is this team's opinion that CNRL would make the most sense as the potential acquirer of TVE.



- Tourmaline has recently completed acquisitions to help drive its growth, and its possible TVE would be a good fit as a potential acquisition target in the future.
- Tourmaline already has operations in the Charlie Lake area. Acquiring TVE would set up Tourmaline as the largest player in the Charlie Lake area.
- Tourmaline has a very strong free cash flow base and are very under-leveraged. They have a \$23B EV with only \$940MM of Debt (4% Debt to 96% Equity). Their short-term cash and revolving credit facility amounts to an easily accessible liquidity base of nearly \$2.7B. LTM Free cash flow was \$2.5B positioning Tourmaline to be in strong financial position to acquire Tamarack.
- However, Tourmaline is a heavy gas weighted producer and further expanding their oil imprint may be an option they are not interested in. Acquiring Tamarack would double their 2022 total oil production (~ 43,000 bbl/d), an area of the business they could grow to diversify revenue if they were interested.

PRECEDENT M&A TRANSACTIONS ANALYSIS

Precedent Transactions

Tamarack Valley Energy Comparable M&A Transactions			Valuation Multiples		
Acquirer/Investor Name	Target Name	Announcement Date	EV/EBITDA	EV/DACF	\$/BOE/D
Peyto Exploration & Development Corp.	Repsol Canada Energy Partnership	Oct. 17, 2023	-	-	\$ 27.7
Crescent Point Energy	Hammerhead Energy Inc.	Nov. 06, 2023	5.0x	5.5x	\$ 45.5
Tourmaline Oil Corp.	Bonavista Energy Corporation	Oct. 16, 2023	3.0x	4.1x	\$ 24.2
Average			4.0x	4.8x	\$ 32.5
Median			4.0x	4.8x	\$ 27.7

EV/EBITDA Valuation

Tamarack EBITDA	\$ 998 MM
Mean EV/EBITDA	4.0 x
Implied Enterprise Value	\$ 3,992 MM
Net Debt	\$ 1,128 MM
Implied Equity Value	\$ 3,054 MM
Shares Outstanding	556 MM
Implied Share Price	\$5.15

EV/DACF Valuation

Tamarack DCF	\$ 718 MM
Mean EV/DACF	4.8 x
Implied Enterprise Value	\$ 3,446 MM
Net Debt	\$ 1,128 MM
Implied Equity Value	\$ 2,508 MM
Shares Outstanding	556 MM
Implied Share Price	\$4.17

\$/BOE/D Valuation

Tamarack BOE/D	\$ 68.6 K bbls
Mean \$/BOE/D	\$ 32.5 \$/K bbls
Implied Enterprise Value	\$ 2,226 MM
Net Debt	\$ 1,128 MM
Implied Equity Value	\$ 1,288 MM
Shares Outstanding	556 MM
Implied Share Price	\$1.97

NAV BREAKDOWN



NPV of Reserves Derivation

E&P																				
NAV Assumptions																				
Oil decline/year		25%																		
Natural gas decline/year		23%																		
WACC/ Discount Rate		10%																		
MCF to GJ Conversion		1.055056																		
	Light/Medium Oil			Heavy Oil			NGL MIX			Natural Gas			Revenues			Production and Transportation Costs		Pre-Tax Cash Flows	Tax Rate	After-Tax Cash Flows
	Reserves Mbbbls	Production Mbbbls	Price \$/bbl	Reserves Mbbbls	Production Mbbbls	Price \$/bbl	Reserves Mbbbls	Production Mbbbls	Price \$/bbl	Reserves 000's GJ	Production 000's GJ	Price \$/GJ	Oil \$000's	Natural Gas \$000's	Total \$000's	\$/boe	\$000's	\$000's	%	\$000's
2023	68,882			68,668			15,450			295,573										
2023	62,771	6,111	\$93.31	55,809	12,859	\$69.83	14,090	1,360	\$42.84	268,135	27,438	\$3.75	\$ 1,526,387	\$102,927	\$1,629,314	(\$37.92)	(\$935,263)	\$694,051	22%	\$538,774
2024	56,660	6,111	\$88.35	42,951	12,859	\$66.91	12,729	1,360	\$47.77	240,698	27,438	\$3.68	\$ 1,465,299	\$100,900	\$1,566,198	(\$36.52)	(\$900,734)	\$665,465	22%	\$516,584
2025	50,549	6,111	\$85.53	30,092	12,859	\$63.35	11,369	1,360	\$46.97	213,260	27,438	\$3.72	\$ 1,401,226	\$102,150	\$1,503,376	(\$35.72)	(\$881,002)	\$622,373	22%	\$483,133
2025	44,438	6,111	\$85.14	17,234	12,859	\$73.02	10,009	1,360	\$45.99	185,823	27,438	\$3.84	\$ 1,521,790	\$105,407	\$1,627,197	(\$34.92)	(\$861,271)	\$765,926	22%	\$594,569
2025	38,327	6,111	\$84.75	4,375	12,859	\$75.80	8,648	1,360	\$46.92	158,385	27,438	\$3.85	\$ 1,556,458	\$105,530	\$1,661,988	(\$34.42)	(\$848,939)	\$813,049	22%	\$631,150
2025	32,216	6,111	\$85.27	-	4,375	\$77.40	7,288	1,360	\$47.85	130,948	27,438	\$4.35	\$ 924,842	\$119,353	\$1,044,195	(\$33.42)	(\$540,756)	\$503,439	22%	\$390,807
2025	27,633	4,583	\$90.00	-	-	\$80.00	6,268	1,020	\$50.00	109,821	21,127	\$4.50	\$ 463,499	\$95,071	\$558,570	(\$33.00)	(\$295,048)	\$263,523	22%	\$204,566
2025	24,196	3,437	\$91.80	-	-	\$81.60	5,503	765	\$51.00	93,553	16,268	\$4.59	\$ 354,577	\$74,669	\$429,246	(\$33.00)	(\$223,488)	\$205,757	22%	\$159,724
2025	21,618	2,578	\$93.64	-	-	\$83.23	4,929	574	\$52.02	81,027	12,526	\$4.68	\$ 271,251	\$58,645	\$329,896	(\$33.00)	(\$169,312)	\$160,584	22%	\$124,657
2025	19,684	1,934	\$95.51	-	-	\$84.90	4,498	430	\$53.06	71,382	9,645	\$4.78	\$ 207,507	\$46,060	\$253,567	(\$33.00)	(\$128,290)	\$125,277	22%	\$97,249
2025	18,234	1,450	\$97.42	-	-	\$86.59	4,176	323	\$54.12	63,955	7,427	\$4.87	\$ 158,743	\$36,175	\$194,918	(\$33.00)	(\$97,223)	\$97,695	22%	\$75,838
2025	17,147	1,088	\$99.37	-	-	\$88.33	3,933	242	\$55.20	58,237	5,719	\$4.97	\$ 121,438	\$28,412	\$149,850	(\$33.00)	(\$73,692)	\$76,159	22%	\$59,120
2025	16,331	816	\$101.35	-	-	\$90.09	3,752	182	\$56.31	53,833	4,403	\$5.07	\$ 92,900	\$22,315	\$115,215	(\$33.00)	(\$55,865)	\$59,350	22%	\$46,072
2025	15,719	612	\$103.38	-	-	\$91.89	3,616	136	\$57.43	50,443	3,391	\$5.17	\$ 71,069	\$17,526	\$88,595	(\$33.00)	(\$42,358)	\$46,237	22%	\$35,893
2025	15,260	459	\$105.49	-	-	\$93.73	3,513	102	\$58.58	47,832	2,611	\$5.27	\$ 54,368	\$13,765	\$68,133	(\$33.00)	(\$32,122)	\$36,011	22%	\$27,954
2025	14,916	344	\$107.56	-	-	\$95.61	3,437	77	\$59.75	45,822	2,010	\$5.38	\$ 41,591	\$10,811	\$52,402	(\$33.00)	(\$24,364)	\$28,039	22%	\$21,766
2025	14,658	258	\$109.71	-	-	\$97.52	3,379	57	\$60.95	44,274	1,548	\$5.49	\$ 31,817	\$8,491	\$40,308	(\$33.00)	(\$18,482)	\$21,826	22%	\$16,943
2025	14,464	194	\$111.90	-	-	\$99.47	3,336	43	\$62.17	43,082	1,192	\$5.60	\$ 24,340	\$6,669	\$31,009	(\$33.00)	(\$14,023)	\$16,986	22%	\$13,186
2025	14,319	145	\$114.14	-	-	\$101.46	3,304	32	\$63.41	42,164	918	\$5.71	\$ 18,620	\$5,238	\$23,858	(\$33.00)	(\$10,642)	\$13,216	22%	\$10,260
2025	14,210	109	\$116.42	-	-	\$103.49	3,280	24	\$64.68	41,458	707	\$5.82	\$ 14,245	\$4,114	\$18,358	(\$33.00)	(\$8,077)	\$10,281	22%	\$7,981
2025	14,129	82	\$118.75	-	-	\$105.56	3,262	18	\$65.97	40,913	544	\$5.94	\$ 10,897	\$3,231	\$14,128	(\$33.00)	(\$6,131)	\$7,997	22%	\$6,208
2025	14,067	61	\$121.13	-	-	\$107.67	3,248	14	\$67.29	40,494	419	\$6.06	\$ 8,336	\$2,538	\$10,874	(\$33.00)	(\$4,655)	\$6,219	22%	\$4,827
2025	14,022	46	\$123.55	-	-	\$109.82	3,238	10	\$68.64	40,172	323	\$6.18	\$ 6,377	\$1,993	\$8,370	(\$33.00)	(\$3,535)	\$4,835	22%	\$3,753
2025	13,987	34	\$126.02	-	-	\$112.02	3,230	8	\$70.01	39,923	248	\$6.30	\$ 4,879	\$1,565	\$6,444	(\$33.00)	(\$2,685)	\$3,759	22%	\$2,918
2025	13,961	26	\$128.54	-	-	\$114.26	3,224	6	\$71.41	39,732	191	\$6.43	\$ 3,732	\$1,229	\$4,961	(\$33.00)	(\$2,040)	\$2,922	22%	\$2,268
2025	13,942	19	\$131.11	-	-	\$116.54	3,220	4	\$72.84	39,585	147	\$6.56	\$ 2,855	\$966	\$3,821	(\$33.00)	(\$1,550)	\$2,271	22%	\$1,763
2025	13,927	15	\$133.74	-	-	\$118.88	3,217	3	\$74.30	39,471	113	\$6.69	\$ 2,184	\$758	\$2,942	(\$33.00)	(\$1,178)	\$1,765	22%	\$1,370
2025	13,916	11	\$136.41	-	-	\$121.25	3,214	2	\$75.78	39,384	87	\$6.82	\$ 1,671	\$596	\$2,266	(\$33.00)	(\$895)	\$1,371	22%	\$1,065
2025	13,908	8	\$139.14	-	-	\$123.68	3,213	2	\$77.30	39,317	67	\$6.96	\$ 1,278	\$468	\$1,746	(\$33.00)	(\$680)	\$1,066	22%	\$827
2025	13,902	6	\$141.92	-	-	\$126.15	3,211	1	\$78.84	39,265	52	\$7.10	\$ 978	\$367	\$1,345	(\$33.00)	(\$517)	\$828	22%	\$643
2025	13,898	5	\$144.76	-	-	\$128.67	3,210	1	\$80.42	39,225	40	\$7.24	\$ 748	\$289	\$1,037	(\$33.00)	(\$393)	\$643	22%	\$499
2025	13,894	3	\$147.65	-	-	\$131.25	3,209	1	\$82.03	39,195	31	\$7.38	\$ 572	\$227	\$799	(\$33.00)	(\$299)	\$500	22%	\$388
2025	13,892	3	\$150.61	-	-	\$133.87	3,209	1	\$83.67	39,171	24	\$7.53	\$ 438	\$178	\$616	(\$33.00)	(\$228)	\$388	22%	\$301
2025	13,890	2	\$153.62	-	-	\$136.55	3,208	0	\$85.34	39,153	18	\$7.68	\$ 335	\$140	\$475	(\$33.00)	(\$173)	\$302	22%	\$234
Total		54,992		68,668			12,242			256,420					11,446,018		(6,185,911)	5,260,107		4,083,291
NPV of Reserves		\$3,757,134																		

NAV BENCHMARK PRICING ASSUMPTIONS

Benchmark Pricing Indexes									
Benchmarks									
ACTIVE CASE	2								
	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E	2029E
Strong case	1		\$81.09	\$78.41	\$76.52	\$76.73	\$76.94	\$77.53	\$78.63
Base case	2		\$78.09	\$75.41	\$73.52	\$73.73	\$73.94	\$74.53	\$75.63
Weak case	3		\$75.09	\$72.41	\$70.52	\$70.73	\$70.94	\$71.53	\$72.63
WTI - West Texas Intermediate (\$US/Bbl)	\$67.84	\$94.05	\$78.09	\$75.41	\$73.52	\$73.73	\$73.94	\$74.53	\$75.63
Strong case	1		\$83.35	\$80.04	\$75.99	\$86.98	\$90.14	\$91.96	\$93.71
Base case	2		\$79.35	\$76.04	\$71.99	\$82.98	\$86.14	\$87.96	\$89.71
Weak case	3		\$75.35	\$72.04	\$67.99	\$78.98	\$82.14	\$83.96	\$85.71
WCS - Western Canadian Select (\$CAD/Bbl)	\$67.93	\$97.02	\$79.35	\$76.04	\$71.99	\$82.98	\$86.14	\$87.96	\$89.71
Strong case	1		\$103.27	\$97.99	\$94.99	\$94.57	\$94.16	\$94.72	\$96.03
Base case	2		\$99.27	\$93.99	\$90.99	\$90.57	\$90.16	\$90.72	\$92.03
Weak case	3		\$95.27	\$89.99	\$86.99	\$86.57	\$86.16	\$86.72	\$88.03
MSW/ Edmonton Par- Mixed Sweet (\$CAD/Bbl)	\$80.15	\$119.76	\$99.27	\$93.99	\$90.99	\$90.57	\$90.16	\$90.72	\$92.03
Strong case	1		\$65.20	\$72.24	\$71.11	\$69.71	\$71.02	\$72.36	\$73.73
Base case	2		\$61.20	\$68.24	\$67.11	\$65.71	\$67.02	\$68.36	\$69.73
Weak case	3		\$57.20	\$64.24	\$63.11	\$61.71	\$63.02	\$64.36	\$65.73
NGL MIX (\$CAD/Bbl)	\$60.13	\$77.77	\$61.20	\$68.24	\$67.11	\$65.71	\$67.02	\$68.36	\$69.73
Strong case	1		\$4.67	\$4.59	\$4.64	\$4.77	\$4.77	\$4.85	\$4.91
Base case	2		\$4.17	\$4.09	\$4.14	\$4.27	\$4.27	\$4.35	\$4.41
Weak case	3		\$3.67	\$3.59	\$3.64	\$3.77	\$3.77	\$3.85	\$3.91
AECO (\$CAD/GJ)	\$3.86	\$5.96	\$4.17	\$4.09	\$4.14	\$4.27	\$4.27	\$4.35	\$4.41
Strong case	1		1.34x	1.34x	1.33x	1.32x	1.31x	1.31x	1.31x
Base case	2		1.32x	1.32x	1.31x	1.30x	1.29x	1.29x	1.29x
Weak case	3		1.30x	1.30x	1.29x	1.28x	1.27x	1.27x	1.27x
FX (USD:CAD)	1.25x	1.30x	1.32x	1.32x	1.31x	1.30x	1.29x	1.29x	1.29x

NAV REALIZED PRICING ASSUMPTIONS

TVE Captured Price /bbl									
Realized prices									
ACTIVE CASE	2								
Crude Oil (\$CAD/Bbl)									
	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E	2029E
Strong case	1		90%	90%	90%	90%	90%	90%	90%
Base case	2		88%	88%	88%	88%	88%	88%	88%
Weak case	3		86%	86%	86%	86%	86%	86%	86%
Heavy Oil - WCS (\$CAD/Bbl)	\$64.56	\$85.40	\$69.83	\$66.91	\$63.35	\$73.02	\$75.80	\$77.40	\$78.94
Differential	95%	88%	88%	88%	88%	88%	88%	88%	88%
Strong case	1		96%	96%	96%	96%	96%	96%	96%
Base case	2		94%	94%	94%	94%	94%	94%	94%
Weak case	3		92%	92%	92%	92%	92%	92%	92%
Light/Medium Oil - MSW (\$CAD/Bbl)	\$78.64	\$115.47	\$93.31	\$88.35	\$85.53	\$85.14	\$84.75	\$85.27	\$86.51
Differential	98%	96%	94%	94%	94%	94%	94%	94%	94%
Strong case	1		75%	75%	75%	75%	75%	75%	75%
Base case	2		70%	70%	70%	70%	70%	70%	70%
Weak case	3		65%	65%	65%	65%	65%	65%	65%
NGL Mix - (\$CAD/Bbl)	\$41.77	\$54.66	\$42.84	\$47.77	\$46.97	\$45.99	\$46.92	\$47.85	\$48.81
Differential	69%	70%	70%	70%	70%	70%	70%	70%	70%
Natural Gas (\$/GJ)									
Strong case	1		95%	95%	95%	95%	95%	95%	95%
Base case	2		90%	90%	90%	90%	90%	90%	90%
Weak case	3		85%	85%	85%	85%	85%	85%	85%
Natural Gas - AECO (\$CAD/GJ)	\$3.70	\$6.15	\$3.75	\$3.68	\$3.72	\$3.84	\$3.85	\$3.91	\$3.97
Differential	96%	103%	90%	90%	90%	90%	90%	90%	90%

NAV RESERVES ASSUMPTIONS

TVE 2P Reserves Breakdown

Reserves Profile for Tamarack Valley Energy Ltd.

	Light Oil (MBbl)		Heavy Oil (MBbl)		Natural Gas (MMcf)		NGL's (MBbl)		Total Net Reserves	
	2021	2022	2021	2022	2021	2022	2021	2022	2021	2022
Net Proved Reserves										
Developed Producing	21,496	19,787	3,487	19,691	104,619	104,129	5,551	5,691	47,971	62,524
Developed Non-Producing	1,089	730	-	1,100	4,567	3,283	200	80	2,050	2,457
Undeveloped	21,568	18,893	3,765	15,976	63,461	57,446	3,385	3,260	39,295	47,703
Total Proved Reserves	44,154	39,410	7,253	36,767	172,648	164,858	9,137	9,031	89,316	112,684
Net Probable Reserves										
Probable:	32,806	29,472	6,644	31,901	117,187	115,291	6,232	6,419	65,213	87,007
Total Probable Reserves	32,806	29,472	6,644	31,901	117,187	115,291	6,232	6,419	65,213	87,007
Barrels of Equivalent (BOE) Reserves										
Total Proved plus Probable Reserves	76,960	68,882	13,897	68,668	289,835	280,149	15,369	15,450	154,529	199,692
Developed Reserves:	22,585	20,517	3,487	20,791	109,186	107,412	5,751	5,771	50,021	64,981
Percent Developed	51.2%	52.1%	48.1%	56.5%	63.2%	65.2%	62.9%	63.9%	56.0%	57.7%

NAV VALUATION EXCLUDING ACREAGE

NAV Valuation Summary

Bear Case		Base Case		Bull Case	
NPV of Reserves	\$3,757,134,064	NPV of Reserves	\$4,292,654,266	NPV of Reserves	\$4,626,935,785
Acreage	\$0	Acreage	\$0	Acreage	\$0
Total Assets	\$3,757,134,064	Total Assets	\$4,292,654,266	Total Assets	\$4,626,935,785
Net Debt	\$1,245,000,000	Net Debt	\$1,245,000,000	Net Debt	\$1,245,000,000
NAV	\$2,512,134,064	NAV	\$3,047,654,266	NAV	\$3,381,935,785
Shares Outstanding	556,710,000	Shares Outstanding	556,710,000	Shares Outstanding	556,710,000
NAV/Share	\$4.51	NAV/Share	\$5.47	NAV/Share	\$6.07

NAV VALUATION SENSITIVITY PDP, 1P, & 2P

NAV Valuation Summary

PDP		1P		2P - Base	
NPV of Reserves	\$1,339,911,242	NPV of Reserves	\$2,235,535,232	NPV of Reserves	\$4,292,654,266
Acreage	\$432,031,425	Acreage	\$432,031,425	Acreage	\$432,031,425
Total Assets	\$1,771,942,667	Total Assets	\$2,667,566,658	Total Assets	\$4,724,685,691
Net Debt	\$1,245,000,000	Net Debt	\$1,245,000,000	Net Debt	\$1,245,000,000
NAV	\$526,942,667	NAV	\$1,422,566,658	NAV	\$3,479,685,691
Shares Outstanding	556,710,000	Shares Outstanding	556,710,000	Shares Outstanding	556,710,000
NAV/Share	\$0.95	NAV/Share	\$2.56	NAV/Share	\$6.25

COMPARABLE COMPANIES CHOSEN

Rational for Company Selection to Compare

Yes or No	Company	Ticker	Market Cap (\$MM)	Geographic Location	Products	# of Employees
✓	Baytex Energy	BTE	5059.9	• Alberta (Peace River, Duvernay) • Saskatchewan (Lloydminster, Viking) • Eagle Ford	Heavy Oil, Light Oil, Natural Gas, NGLs	231
✓	Enerplus Corporation	ERF	4938.9	• North Dakota • Northeast Pennsylvania	Crude Oil, Natural Gas, and Natural Gas Liquids	379
✓	Crescent Point Energy	CPG	5904.8	• Saskatchewan • Alberta • British Columbia • Manitoba • North Dakota • Montana	Light and Medium Crude Oil, Natural Gas Liquids, and Natural Gas	768
✓	Headwater Exploration	HWX	1791.8	• Alberta • New Brunswick	Petroleum and Natural Gas	32
✓	Lucero Energy Corp.	LOU	453.5	• North Dakota	Oil and Natural Gas	15
✓	Whitecap Resources	WCP	6462.4	• Alberta • British Columbia • Saskatchewan	Oil and Gas	522
✓	Spartan Delta Corp.	SDE	580.2	• Alberta	Cretaceous oil and liquids-rich gas focus	122

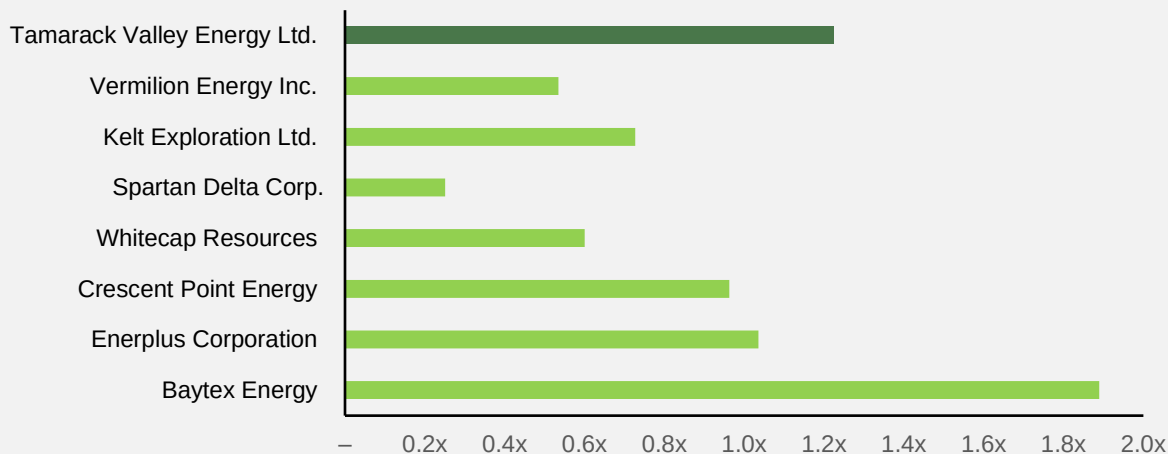
COMPARABLE COMPANIES EXCLUDED

Rational for Company Selection to Compare

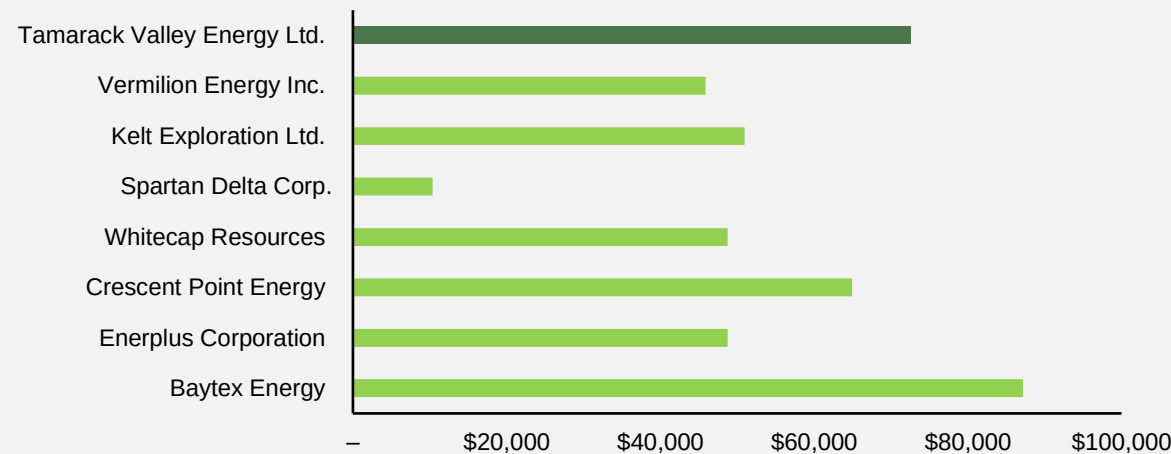
Yes or No	Company	Ticker	Market Cap (\$MM)	Geographic Location	Products	# of Employees
×	Athabasca Oil Corporation	ATH	2,254	• Alberta • Athabasca region of northeastern Alberta • Fort McMurray	Thermal Oil and Light Oil	169
×	Paramount Resources Ltd.	POU	2,865	• Alberta • Grande Prairie Region • Kaybob Region • Central & Other Region	Shale Gas, Natural Gas, NGLs, and Crude Oil	526
×	Parex Resources Inc.	PTX	2103	• Columbia	Oil and Gas	428
×	Bonterra Energy Corp	BNE	224	• Alberta • Saskatchewan • British Columbia	Oil and Natural Gas	39

ALTERNATE PEER VALUATION METRICS

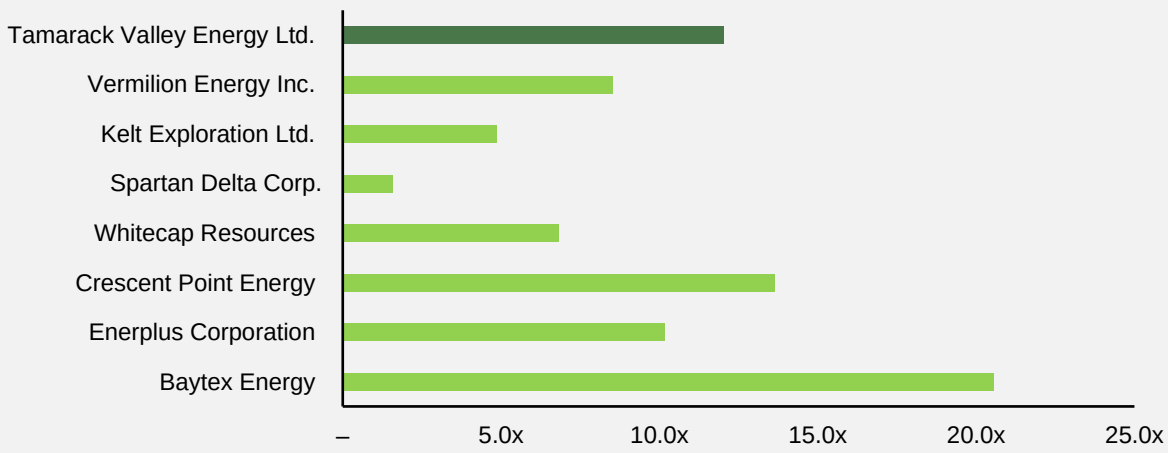
EV/Standardized DCF



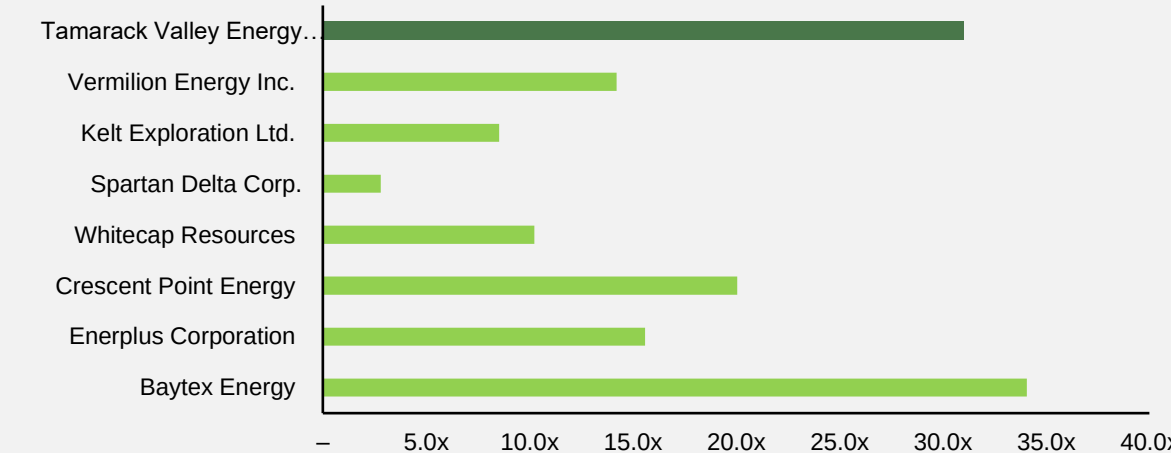
EV/BOE Daily Production



EV/2P

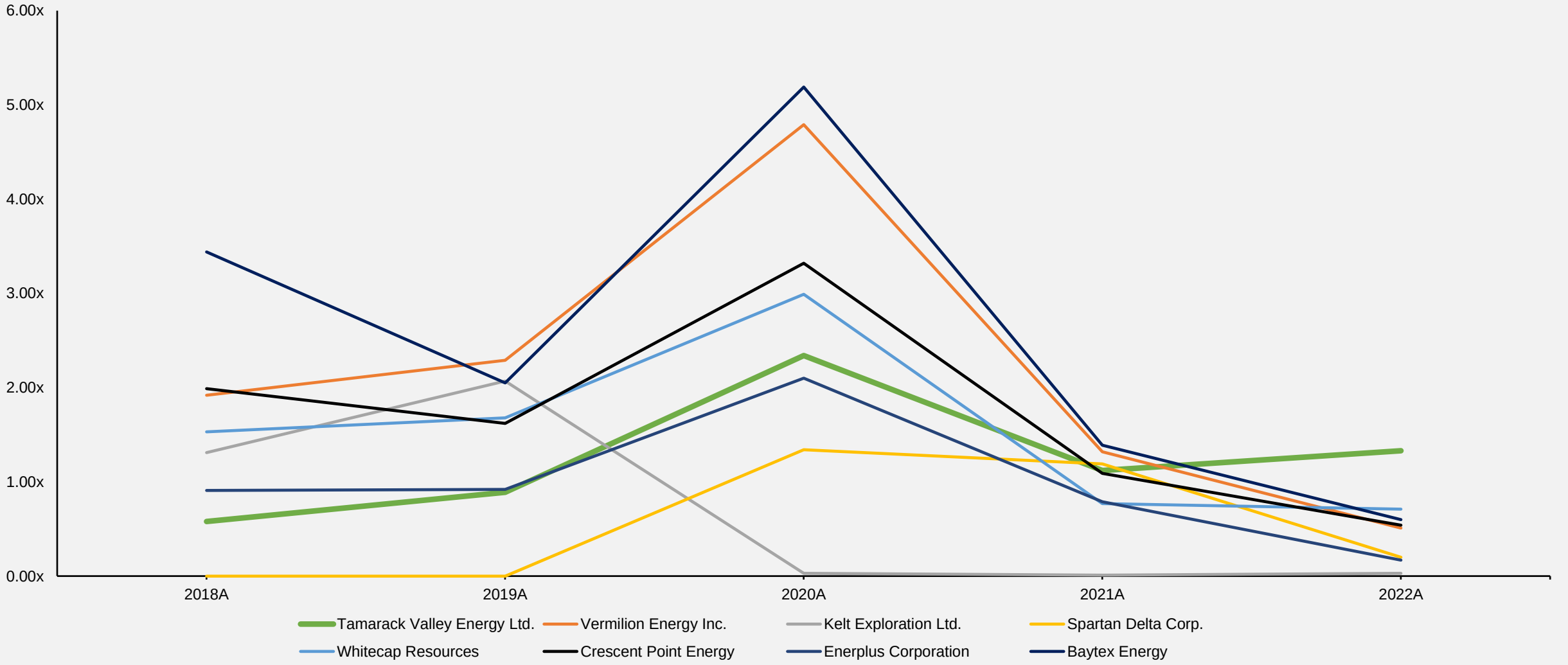


EV/Proved



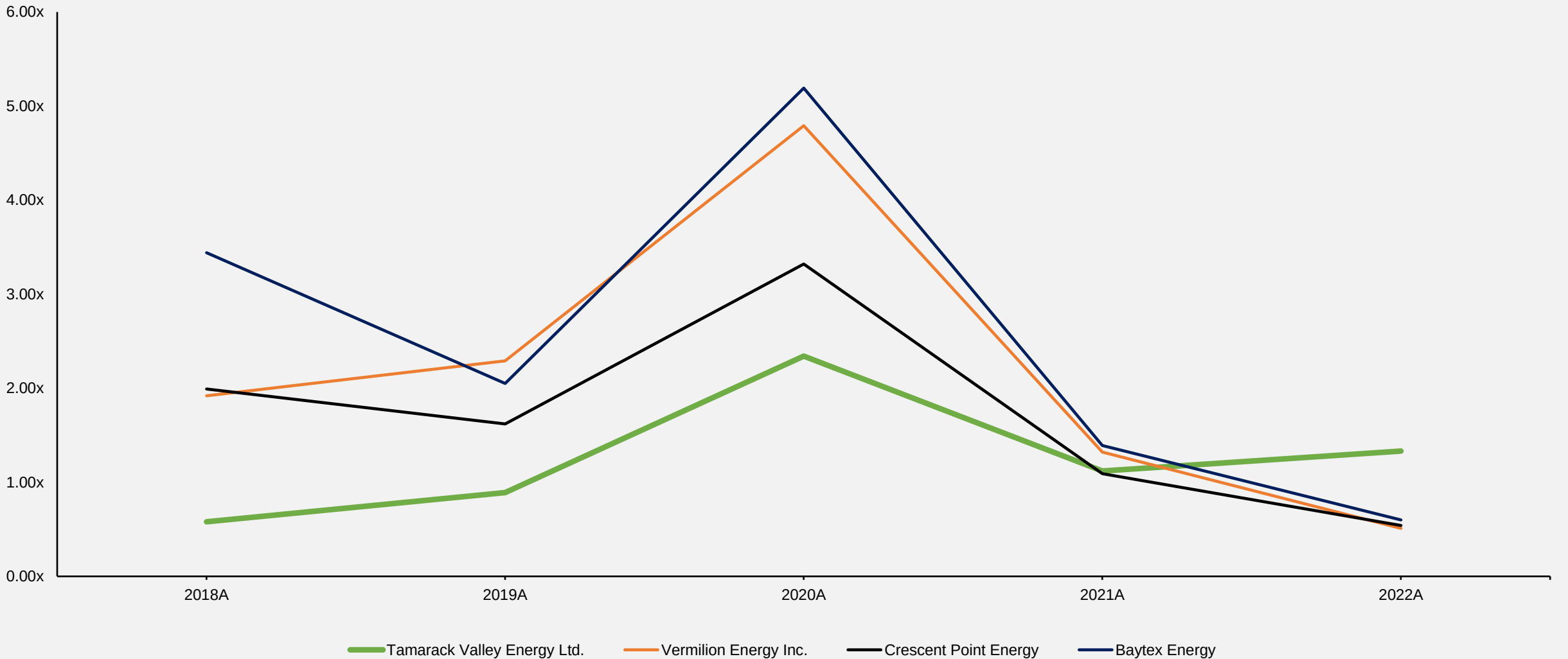
HISTORICAL LEVERAGE VS PEERS

Net Debt/EBITDA

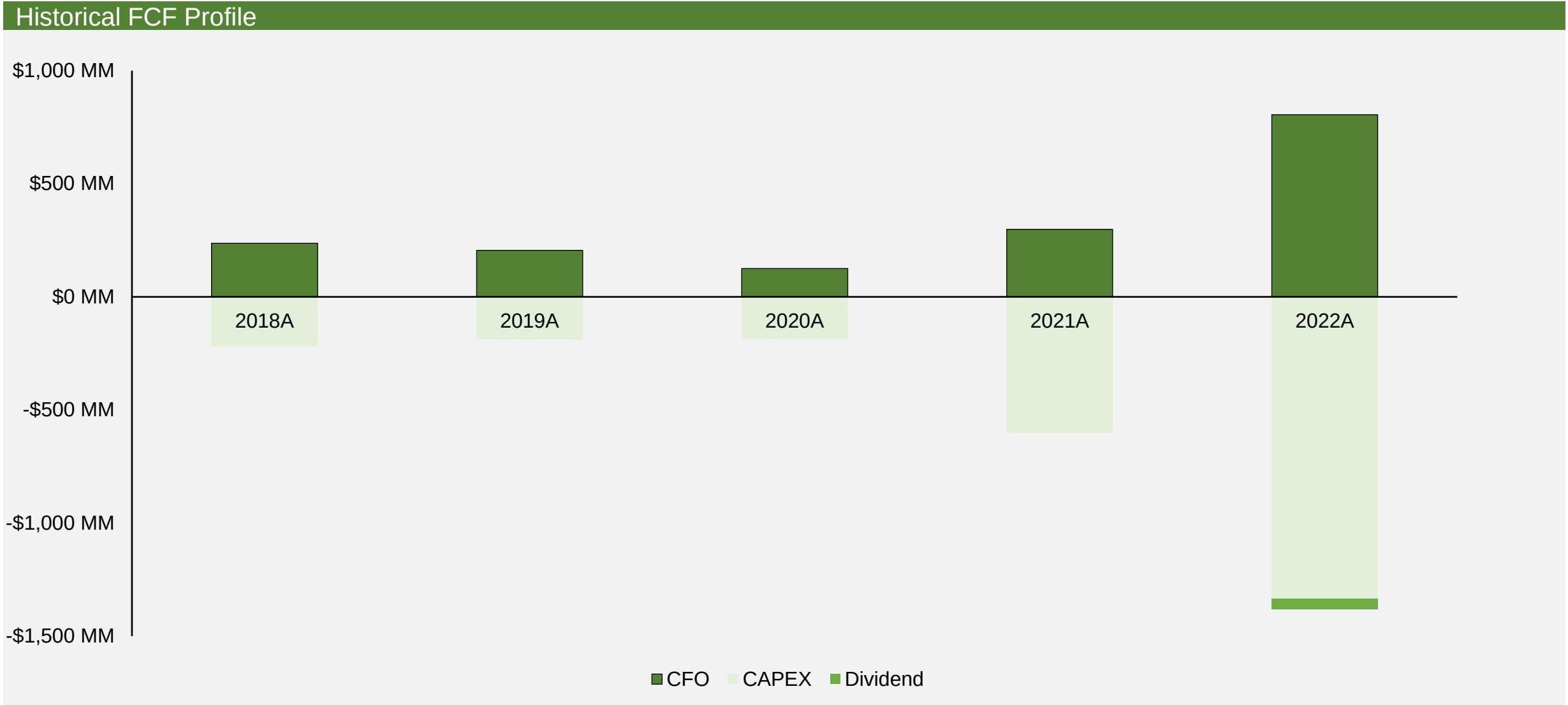


HISTORICAL LEVERAGE VS SELECT PEERS

Net Debt/EBITDA



HISTORICAL FCF PROFILE



DELTASTREAM ACQUISITION

Acquisition Overview

Tamarack acquired all the issued and outstanding common shares of Deltastream for total consideration of \$1.425 billion comprised of 80 million common shares of Tamarack, \$300 million of deferred acquisition payment notes and \$825 million in cash.

The Deltastream assets have synergies with TVE's own operations such as the Nipisi terminal and pipeline project, and TVE's other infrastructure buildouts that can be taken advantage of.

This was a challenging acquisition in terms of its financing, required creativity due to equity constraint in the market, and was partially funded through debt.

The acquisitions pricing was partially responsible for pushing TVE's enhanced dividend several quarters into the future. This acquisition resulted in a trade-off between short term and long term and is very much in line with TVE's philosophy of delivering long term debt-adjusted free cash-flow per share to its shareholders.

Operations Map

